



SAN MIGUEL COUNTY Housing Code Update

Final Code Audit Report and Recommendations

(DRAFT – July 2026)

Table of Contents

Table of Contents	1
Project Overview	1
How to Use This Document	2
Community Engagement	2
Existing Code Framework	5
Analysis and Recommendations	11
Appendix A: Code Redlines	Error! Bookmark not defined.
Appendix B: Housing Needs Context	Error! Bookmark not defined.
Appendix C: Existing Code Context	Error! Bookmark not defined.
Appendix D: Background Information	Error! Bookmark not defined.

Project Overview

San Miguel County has undertaken a comprehensive land use code audit and update to identify and remove regulatory barriers that constrain housing development in unincorporated areas. The San Miguel County Housing Code Update, funded through Colorado’s Proposition 123 Local Planning Capacity Grant, will assess current zoning regulations, development standards, and permitting processes to identify where unnecessary complexity, costs, or delays prevent housing production and adopt changes that help accelerate affordable housing production.

This project implements key recommendations from the East End Master Plan (adopted June 2024) and other community planning efforts. The goal is to enable more housing choices while

preserving community character. If this project is successful, the region will be better equipped to create sufficient inventory, with flexibility in deed restrictions that allow mobility as people's needs change (relating to size, location, type, design, and accessibility).

The engagement is designed to be transparent about trade-offs: streamlining development processes may mean less lengthy review, while maintaining community character may mean some regulations stay in place.

With a projected countywide need for over 1,100 housing units by 2030 and nearly half of all workers in the county commuting more than 25 miles to work, this effort directly addresses the region's housing supply shortage by making it easier, faster, and more cost-effective to build housing of all types.

The San Miguel County Housing Code Update builds on experience with community housing initiatives to develop community-supported regulatory reforms. The comprehensive code audit will review all housing-related regulations, including the Community Housing zone district, to identify and address barriers to housing development. This project also meets the Proposition 123 "Fast Track Approval" requirement, positioning the County to access state funding for affordable housing.

How to Use This Document

This document has been prepared by the consultant team for San Miguel County staff, officials, and stakeholders to review. Recommendations are based on existing policies in the San Miguel County Land Use Code, the East End Master Plan, and the Wright's Mesa Master Plan, community member and staff feedback recorded during listening sessions in October 2025, and the consultant team's case study research of peer communities and understanding of best practices.

It is intended that planning staff will use the information within the document to make recommendations to the Planning Commission and the Board of County Commissioners for discussion and potential code adoption.

Community Engagement Summary

This section summarizes high-level themes, ideas, and recommendations heard throughout the San Miguel County Housing Code Update project which included the following touchpoints:

- **Community Listening Sessions (October 2025):** Approximately **56** individuals were directly engaged through online surveys, small group sessions, one on one meetings, and open office hours. We heard from full-time San Miguel County residents, developers, residents of affordable housing, legal professionals, real estate finance experts, representatives of local nonprofits, employers, and other community members that want to help make workforce housing easier to build in the County.
- **Stakeholder Strategic Roundtable (SSR) Meetings:** A 12-member SSR was selected by the Board of County Commissioners by way of an application process in August 2025. Six meetings were held in October and December 2026, and January, March, April, and

June 2026 **[update with final number]**. Meetings built on one another with the initial meeting being an opportunity to define priorities for the project and subsequent meetings discussing the proposed recommendations in detail.

Outreach Goals

The purpose of these listening sessions was to better understand the challenges and successes of affordable workforce housing development in San Miguel County. The following questions were presented to attendees to guide these conversations:

- How do current development regulations affect housing costs and availability?
- What are the main regulatory barriers to building more housing?
- How do permitting timelines and processes impact housing development feasibility?
- What infrastructure constraints limit housing development in different areas?
- What regulatory barriers have you encountered in the development process?
- What specific code provisions make development unnecessarily difficult or expensive?
- What concerns do you have about potential code changes in your area?
- How can we streamline processes without compromising appropriate review?
- What lessons should we learn from past housing development efforts in the county?

Key Themes of Community Conversations:

Although participants represented a wide range of perspectives and professional backgrounds, consistent themes emerged across discussions. These themes reflect broad agreement on the County's housing challenges and opportunities:

Overall Housing Needs

Participants uniformly agreed that housing affordability and availability have become critical challenges affecting the local workforce, families, and economic sustainability. Employers across sectors cited the lack of attainable housing as a major barrier to hiring and retention. Developers and builders expressed that even projects intended for local workers often face excessive costs or uncertainty due to permitting complexity and infrastructure limitations.

Community members emphasized the need for a more flexible, efficient code structure that supports a broader range of housing types, particularly those affordable to middle-income earners. Many noted that current regulations inadvertently discourage smaller scale "missing middle" projects that could help fill workforce housing gaps. The SSR group also noted that the LUC could recognize and provide provisions for seasonal employees in San Miguel County that live in campers, RVs, and vans.

Infrastructure and Land Availability

Infrastructure constraints—especially water availability—were repeatedly identified as a major barrier to housing development and key consideration for code changes. Participants expressed concerns that existing water, road, and service capacities in some areas are insufficient to support additional growth. These constraints are compounded by the County's topography and dispersed development pattern.

Community members recommended that future code and infrastructure planning prioritize new housing near existing services, where infrastructure and transit access can better support increased density. Aligning infrastructure investment with housing goals was viewed as critical to improving long-term feasibility.

Development Review Process

Nearly all participants mentioned that the current development review and permitting process is lengthy and unpredictable. Many noted that it is difficult to build small-scale or “missing middle” housing types such as duplexes and multi-family homes. More dense affordable housing developments are even more difficult to build because of the requirement to go through the PUD process. This additional layer of review increases costs through significant entitlement delays and uncertainty, discouraging private investment in workforce housing.

Community members expressed a strong desire for a more predictable and transparent process with clear submittal requirements and review timelines. They also supported the creation of a streamlined “minor subdivision” or simplified review track for small-scale projects that meet established design and infrastructure standards, as well as streamlining review processes for eligible affordable housing developments.

Community Housing Zone and Density

Many participants expressed concerns about the implementation of the Community Housing (CH) zone. While many supported the intent of providing more opportunities for workforce housing, some felt that the current density allowance of 20 dwelling units per acre is excessive for land in the unincorporated county.

Community members recommended that the County clarify the zone’s intent, criteria, and applicability—potentially offering a range of density options based on location, infrastructure capacity, and compatibility with surrounding land uses. Some participants also suggested that workforce housing goals could be achieved more effectively through incentives, such as density bonuses or fee reductions.

Regional Coordination and Differences

Community members emphasized the importance of regional coordination between the County and its municipalities to ensure that workforce housing efforts are aligned and equitable. There was a strong desire to define roles and responsibilities more clearly, particularly regarding where different types of housing should be located and how infrastructure costs should be shared.

Distinct differences in perspective emerged between the eastern and western portions of the County:

- **East End (Telluride / Mountain Village):** Participants expressed frustration about limited workforce housing progress, skepticism toward the CH zone, and concerns about high density, water availability, and growth pressure.
- **West End (Norwood, Placerville, Wright’s Mesa):** Participants in these areas felt that they are being asked to absorb growth generated by the East End, with particular

emphasis on infrastructure limitations and the desire to maintain agricultural and rural character.

Incentives and Fee Structure

Community members expressed interest in shifting away from restrictive requirements toward more developer incentives that make workforce housing financially viable. Several participants described the current employee housing mitigation fee structure as unclear or inconsistent, suggesting that a review of the methodology could help improve transparency and fairness.

Developers and builders indicated that fee reductions, density bonuses, or expedited review could meaningfully improve project feasibility, especially for small or mid-sized workforce housing developments. Clear deed restriction frameworks and well-defined affordability requirements were also seen as critical to maintaining long-term affordability.

Housing Action Planning

(outside the scope of the San Miguel County Housing Code Update)

While this effort lays the essential groundwork that may inform a Housing Action Plan under SB24-174, it does not fulfill SB24-174 requirements. The County must still complete a separate Housing Action Plan by January 1, 2028, to comply with that statute. The following list includes broader suggestions for housing action planning that came up during the listening sessions.

Financial Incentives

Interest was expressed in adjusting affordable housing mitigation fees, offering fee waivers, and exploring property tax reductions for deed-restricted units. Some participants suggested revisiting Transfer of Development Rights (TDR) programs as a potential local funding or land management tool (see 5A-B. *Considerations for a Transfer of Development Rights Program*).

Programs

Community members highlighted interest in programs that incentivize accessory dwelling unit (ADU) construction, similar to Durango's ADU rebate or Vail's Lease to Locals program. Other suggestions included creating temporary or seasonal housing options for local workers, rehabilitation programs for substandard housing, and preservation strategies for existing housing stock.

Revenue Generation

Ideas for funding future housing initiatives included a transfer fee tied to sales tax, an "empty homes" tax, and potential airport landing fees dedicated to workforce housing programs.

Public-Private Partnerships

Participants noted that developers and employers are likely willing to partner on workforce housing projects if processes are clearer and timelines are predictable. Additional opportunities were identified for HOA participation, Low-Income Housing Tax Credit (LIHTC) projects, and employer-assisted housing efforts.

Existing Code Framework

The San Miguel County Land Use Code (LUC) is the regulatory framework governing all development in unincorporated areas. It consolidates decades of land use policy into a comprehensive system and is updated from time to time as needed. Understanding how the current code works—and where it creates barriers—is essential to developing effective reforms.

How the Code is Organized

The LUC is structured as seven articles, each serving a distinct but complementary function within the county's regulatory framework. The code divides its content into two main categories: the Core Framework (Articles 1-4) and Development Standards (Articles 5-7).

Core Framework (Articles 1-4)

- Article 1 (Administration and Enforcement): This section establishes powers and duties of Boards, Commissions and staff. It describes the administrative structure, assigns authority to the Planning Director, provides enforcement mechanisms, outlines code violation procedures, and details of appeals processes for administrative and Planning Commission decisions.
- Article 2 (Land Use Policies): Article 2 forms the basis of the code by codifying county policies on housing, environmental protection, infrastructure, and other foundational land use priorities. These are typically referenced when making findings on land use decisions.
- Article 3 (Procedures): Procedures for development review, permitting, and other land use actions are organized in Article 3, ensuring an orderly and transparent review process for applicants and stakeholders.
- Article 4 (Submission Requirements): Article 4 specifies all necessary application materials, maps, and documentation needed for various land use processes.

Development Standards (Articles 5-7)

- Article 5 (Standards): This article defines dimensional, use, and service standards according to zone districts, including guidance for special uses such as affordable housing. Zone District standards are contained in Section 5-3, while Affordable Housing regulations are in Section 5-13. Other sections cover Roads, Services, Improvements, PUDs and Subdivision standards, and standards for specific activities and uses.
- Article 6 (Natural Resources): Article 6 directs the management of resource extraction activities, renewable energy development, and environmental protection measures.
- Article 7 (Definitions): LUC terms are defined in Article 7 for consistent interpretation and application of code provisions.

Established Zones

Table 1: Current Zone Districts and Acronyms

Zone District Name	District Acronym	LUC Section
High Density	HD	5-302
Medium Density	MD	5-303
Low Density	LD	5-304

Zone District Name	District Acronym	LUC Section
Affordable Housing Planned Unit Development	AH (PUD)	5-305
Single-family Residential	R	5-306
Forestry, Agriculture, and Open	F	5-307
Heavy Commercial	HC	5-308
Low Intensity Industrial	I	5-309
Placerville Residential	PR	5-310
Placerville Commercial	PC	5-311
Mobile Home	MH	5-312
Park	P	5-313
Open Space	OS	5-314
Public	PUB	5-315
Scenic Foreground Overlay	SFO	5-316
Scenic View Plane	SVP	5-316
Planned Unit Development Reserve	PUDR	5-317
Rangeland Grazing	RG	5-318
Wright's Mesa	WM	5-319.1
Wright's Mesa Town Residential	WMTR	5-319.2
Wright's Mesa Light Industrial	WMLI	5-319.2
Wright's Mesa Rural Agriculture	WMRA	5-319.2
Wright's Mesa Rural Residential	WMRR	5-319.2
West End	WE	5-320
High Country Area	HCA	5-321
Low Density Residential	LDR	5-322
Mixed Use Development	MXD	5-323
Community Housing	CH	5-324

What's Working Well

The following summarizes initial findings of what is working well in the current LUC. Many of these provisions can carry over to other areas of the code or be further expanded to continue to expand upon options to encourage attainable housing in San Miguel County.

- Accessory Dwelling Units (ADUs) and caretaker units are currently eligible for administrative approval in the most prevalent residential districts, ADUs in LD and MD, and caretaker units in F.
- The Community Housing zone provides a path for higher density affordable housing development that can be approved more quickly than PUDs.
- Wright's Mesa zones integrate varied residential and hybrid uses.
- HC and I zones allow housing for employees on site.

- While PUDs are overused, this pathway does function as a flexibility mechanism to grant smaller lot sizes, duplexes, and other multifamily units.
- Height, open space, and setback standards are not overly restrictive in most cases.
- The code already has clear definitions for many non-traditional housing types.
- In some cases, the code applies different standards to projects based on sewer/water availability – these should be carried forward into any code updates.
- Cottage housing is a defined use with standards in the Wright's Mesa Town residential zone district.

DRAFT

Identified Barriers

The following summarizes initial findings and potential areas for LUC updates. Each item highlights opportunities to improve efficiency, flexibility, and housing diversity within the County's regulatory framework. More detailed discussion of these topics is provided in the following section on preliminary recommendations to address specific barriers.

- **Lengthy Review Times:** Currently, many land use applications are reviewed by the BOCC and CPC. County could explore allowing more uses by right or with administrative review to reduce the number of applications reviewed by the BOCC and CPC. More efficient review processes would ensure more timely approvals and help reduce costs of housing construction. For affordable housing projects, the County has already addressed this barrier by adopting the Prioritized Housing Review process. However, review times should also be reduced for market-rate housing that can also serve the County's workforce, families, and older adults.
- **PUD Zoning:** The County is currently heavily reliant on Planned Unit Development (PUD) Zoning, which is a 5-step review process. The reliance on PUDs should be reduced by revising the LUC with new and updated standards for uses and developments to enable Administrative, One-Step or Two-Step review. Properties can no longer be rezoned to certain zone districts because the LUC limits those rezones to properties already zoned PUD-R. All land that was zoned PUD-R has been rezoned to other districts. The PUD-R zone states that it shall apply only to properties already so-zoned. This effectively precludes rezoning any properties to LD, MD, and HD.
- **Minimum Residential Lot Size:** The minimum lot size by right in most residential districts is 35 acres (without a PUD). Especially in the low density (LD), medium density (MD), and high density (HD), this lot size should be reduced.
- **Affordable Housing Incentives:** Currently, the code does not offer many financial or regulatory incentives for developers to build affordable and/or workforce housing. While more regulatory incentives could be introduced in the Code, other incentive programs (such as grants and revolving loans) could also be explored outside the scope of this project.
- **Missing Middle Housing Types:** Many 'missing middle' housing types such as duplexes, triplexes, and small-lot single-household dwellings are currently not allowed to be built in the unincorporated county without going through a PUD process. Accessory Dwelling Units (ADUs) are allowed under administrative approval in most residential districts, while caretaker units are allowed in the F zone and secondary dwelling units are allowed in the WM zone. Other housing provisions could help house the local workforce, including allowing more than two dwelling units on large lots, mixed-use allowances by right, cohousing, and creating spaces for tiny homes, alternative living spaces, and people living in campers/RVs/vans.
- **Organization:** Clear and consistent organization is important for developers to understand and apply the code to potential projects. Currently there are no standardized use tables, dimensional standard tables, and review process tables that

can be easily referenced. Terminology for uses and development standards may also be inconsistent between zone districts.

DRAFT

Analysis and Recommendations

Executive Summary

The following pages include the specific analysis and recommendations on the priority considerations as identified by the project team and further supported by community members engaged with during phase 1 of the project. The specific topics addressed include:

- **Zoning and/or Density Adjustments**
- **Standards for Additional Workforce Housing Types**
- **Regulatory Incentives for Affordable Housing Development**
- **Options for Streamlined Application Procedures/Processes**
- **General Code Structure Enhancements**

In practice, many of these recommendations will influence each other to create more favorable conditions for developers to build housing that is affordable for the local workforce. The recommendations within each topic vary in scale, priority, and impact. Although this report segments the topics into their own sections it is important to realize that they are all interconnected in practice, and the recommendations may transcend a single topic when implemented.

The goal of this audit is to provide the County with the foundation to begin Code amendments that will promote the development of affordable workforce housing while preserving community character. The recommendations are not a fix-all solution to housing throughout the County, but rather a step in the right direction to enable more housing opportunities in the near and distant future.

Topics Not Considered at This Time

Following initial review of the Code, there were a number of topics proposed for consideration that were researched and discussed but ultimately not carried through as recommendations due to lack of support or feasibility at this time. Following is a list of those topics and a brief description of why they are not feasible at this time:

- **Adjust minimum parking requirements for all residential development:** *not proven effective in other communities and would compound current issues further.*
- **Incorporate campers, RVs, and vans as a standalone or accessory housing use:** *not enough community support at this time.*
- **Provide application fee reductions or waivers:** *development fees are already low, plan inspection fee cannot be waived, and sales and use tax cannot be waived.*
- **Provide incentives for deed-restricted ADUs:** *determined not to be an effective tool at this time.*
- **Reductions in open space requirements:** *open space preservation is a community priority.*
- **Adjust/revise the employee housing mitigation impact fee structure:** *would require further discussion with the housing authority.*

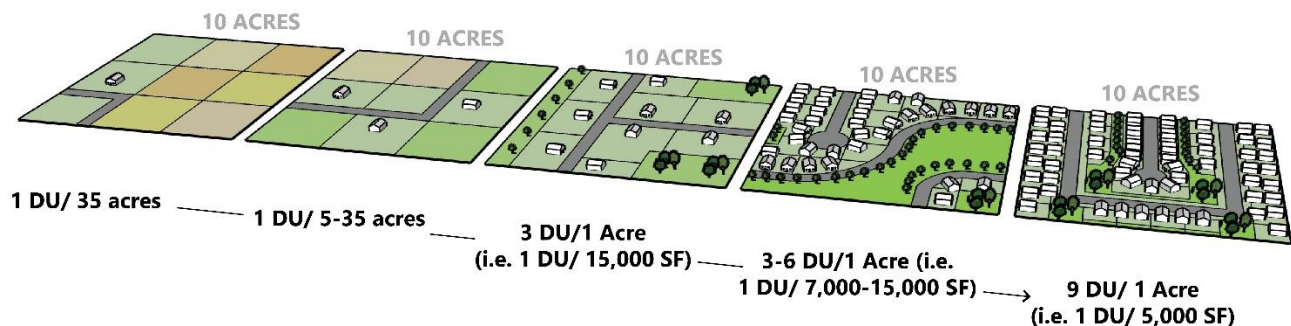
- **Develop a TDR program and integrate affordable housing as an incentive:** *not feasible at this time as this is a lengthy process that would require extensive research and development.*
- **Consolidate Residential Zones Intended for Lower Density:** *upon further investigation, it was determined that the each of the existing low density districts have a distinct purpose and should not be combined.*

DRAFT

1. Zoning and/or Density Adjustments

While the Code guides development in patterns that the County deems appropriate, it can also lead to limitations that are inadvertently generating barriers to development of workforce and affordable housing. For example, current density allowances prohibit most workforce housing as a use allowed by right without lengthy PUD processes. Density allowances and minimum lot sizes are often cited as one of the main limiters to provision of affordable housing, especially in unincorporated counties and rural areas. Rural and unincorporated areas generally have larger minimum lot sizes, and allow for fewer residential units per property, largely to preserve the feeling of open space, allow for adequate separation of on-site wells and septic systems, and mitigate urban sprawl.

Community members consistently expressed concerns that increased density would lead to issues with existing infrastructure, especially water quality. All development applications require water rights demonstration (Section 5-801) and demonstrated water quality standards (Section 5-803) prior to approval, with local water providers instrumental in determining what can ultimately be built. Increasing the by-right density in residential zone districts can make it possible to create more diverse housing options in the areas that have the infrastructure to support them. These conversations are important to consider when looking at affordable housing and how a land use code may incentivize, or disincentivize, it. The graphic below depicts different residential densities across the same ten-acre parcel.



1A. Reduce Minimum Lot Sizes

Identified Barrier

Currently, most residential zone districts in San Miguel County require a minimum lot of 35 acres, with single-household dwellings as the main use listed as a use by right in the zone district standards sections of LUC Section 5-3. Higher densities require PUD approval. ADUs are allowed per administrative review in the Low Density, Medium Density, and High Density zone districts.

Recommendation

The County should consider eliminating the PUD requirement to develop lots smaller than 35 acres by establishing minimum lot sizes in the Low Density (LD), Medium Density (MD), High Density (HD), and Wrights Mesa Town Residential (WMTR) zone districts, and that match the minimum lot sizes allowed per PUD review. See *Table 2* below for specific proposed changes.

Table 2: Current and Recommended Lot Size Requirements – Proposed Changes

Zone District	Current Minimum Lot Sizes (by right)	Proposed Minimum Lot Size (by right)*
Low Density (LD)	35 acres	7 acres
Medium Density (MD)	35 acres	3 acres for well and septic; 6,000 sf if connected to public water and sewer
High Density (HD)	35 acres	2 acres for well and septic; 3,000 sf if connected to public water and sewer
Wright's Mesa Town Residential (WMTR)	5,000 sq. ft.	2,500 sf if connected to public water and sewer

*Subdivision approval required to create lots less than 35 acres per Colorado Statute and LUC Section 5-14.

Table 3: Current Lot Size Requirements with – No Changes Recommended

Zonie District	Current Minimum Lot Sizes (By right)	Proposed Density (By right)*
Low Density Residential (LDR)	35 acres	No Change
Single-Family Residential (R)	35 acres	No Change
Community Housing (CH)	Not specified	No Change
Affordable Housing Planned Unit Development (AH) (PUD)	35 acres	No Change
Wright's Mesa Rural Agriculture (WMRA)	35 acres	No Change
Wright's Mesa Rural Residential (WMRR)	As previously platted	No Change
Wright's Mesa Light Industrial (WMLI)	5,000 sq. ft.	No Change
Forestry, Agriculture, and Open Space (F)	35 acres	No Change
Placerville Residential (PR)	18,750 sq. ft.	No Change
Placerville Commercial (PC)	7,500 sq. ft. w/o sewer; 3,750 sq. ft. with sewer	No Change
Mobile Home (MH)	2 acres if unsubdivided; 0.5 acre if subdivided on water or sewer; 7,500 sq. ft. if subdivided and on water and sewer	No change
Mixed Use Development (MXD)	Not specified	No Change
High County Area (HCA)	35 acres*	No Change
West End (WE)	3 acres	No Change
Rangeland Grazing (RG)	35 acres*	No Change

**Exception for single-household dwellings per Open Land Protection (OLP) in LUC Section 5-1207*

1B. Adjust Density Allowances

Identified Barrier

The current code specifies the maximum number of dwelling units allowed by lot for each zone district with a minimum lot size. In the LD, MD, and HD zone districts, the density allowances through a PUD process align well with the intentions of the East End Master Plan. However, with minimum lot sizes of 35 acres paired with a density maximum of one dwelling unit per lot, the allowances in these districts *by right* do not align well with the East End Master Plan.

For context, the LD, MD, and HD zone districts make up a small fraction of land in the county, with no parcels currently zoned for High Density. Mountain Village was zoned HD when the PUD was approved, but it was removed from the County's land use maps when it incorporated. The 1989 Master Plan had very few parcels eligible for medium to high density development. The 2024 East End Master Plan allows the MD and HD zone district to be considered in limited areas in the east end of the County where infrastructure makes these densities more achievable.

Recommendation

It is highly recommended that the County increase the *by right* density allowance for the LD, MD and HD zone districts to the current PUD allowances, remove the PUD requirement (subdivision approval may still be required), and build in an additional density bonus for projects that achieve a certain percentage of deed-restricted workforce housing as defined in Section 3A. This will align with the adopted policy guidance in the 2024 East End Master Plan to allow for a moderate density of housing while still being an appropriate level of housing for the County. Providing density bonuses for projects that include a certain percentage of deed-restricted or targeted workforce housing can increase feasibility and reduce per-unit costs. See section 3A for more information on density bonus criteria

In addition to increasing select density allowances, it is highly recommended to adjust the 40 people/acre maximum density allowed through PUD in the HD Zone to be standardized as dwelling units (DU) per lot for consistency. Based on an average household size of 2.2 (San Miguel County Regional Housing Needs Assessment, 2025), 40 people/acre would roughly translate to about 15 DU / acre. See *Table 4 and 5* for current density allowances by right, by PUD, and recommended changes. The density bonuses outlined in the table below would apply to developments with 37% or more deed-restricted units. See Section 3A for alternative options to the density bonuses provided below.

Table 4: Current and Recommended Density Allowances – Proposed Recommendations No Changes Recommended

Zone District	Current Density Allowances (By right)	Maximum Density with PUD	Proposed Density (By right)	Density Bonus (25%)*	Density Bonus (35%)**	Density Bonus (50% + 10 ft height increase)***
Low Density (LD)	1 DU / 35 acres + 1 ADU	1 DU / 7 acres	1 DU / 7 acres	1 DU / 5.6 acres	1 DU / 5.2 acres	1 DU / 4.7 acres
Medium Density (MD)	1 DU / 35 acres + 1 ADU	1 DU / 3 acres	1 DU / 3 acres	1 DU / 2.4 acres	1 DU / 2.2 acres	1 DU / 2 acres
High Density (HD)	1 DU / 35 acres + 1 ADU	40 people/acre minimum; 80 people/acre maximum	15 DU / acre	19 DU / acre	20 DU / acre	22.5 DU / acre

*Development with 37% of the total units deed-restricted will qualify for a 25% density bonus over the by right allowed density

**Development with 38% - 50% of the total units deed-restricted will qualify for a 35% density bonus over the by right allowed density

***Development with a majority (51%+) of the total units deed-restricted will qualify for a 50% density bonus over the by right allowed density

Table 5: Current and Recommended Density Allowances – No Changes Recommended

Zone District	Current Density Allowances (By right)	Maximum Density with PUD	Proposed Density (By right)	Proposed Density Bonus
Community Housing (CH)	20 DU / acre	Not Specified	No Change	NA
Affordable Housing Planned Unit Development (AH) (PUD)	1 DU / 35 acres	15 DU / acre	No Change	NA
Low Density Residential (LDR)	1 DU / 35 acres	1 DU / 6-8 acres	No Change	NA
Single-Family Residential (R)	1 DU / 35 acres	1 DU / 9,375 sq. ft.	No Change	NA
Wright's Mesa Rural Agriculture (WMRA)	1 DU / 35 acres	Not Specified	No Change	NA
Wright's Mesa Rural Residential (WMRR)	1 DU / 35 acres	Not Specified	No Change	NA
Wright's Mesa Light Industrial (WMLI)	1 DU / 5,000 sq. ft. (8 DU/acre)	Not Specified	No Change	NA
Wright's Mesa Town Residential (WMTR)	1 DU / 2,500 sq. ft. for duplex (17 DU/acre)	Not Specified	No Change	NA
Forestry, Agriculture, and Open Space (F)	1 DU / 35 acres	1 DU / 35 acres	No Change	NA

Zone District	Current Density Allowances (By right)	Maximum Density with PUD	Proposed Density (By right)	Proposed Density Bonus
Placerville Residential (PR)	1 DU / 18,750 sq. ft.	Not Specified	No Change	NA
Placerville Commercial (PC)	1 DU / 3,750 sq. ft. (with central sewer service)	Not Specified	No Change	NA
Mobile Home (MH)	Not Specified	Not Specified	No Change	NA
Heavy Commercial (HC)	Not Specified	Not Specified	No Change	NA
Low Intensity Industrial (I)	1 DU / 35 acres	Not Specified	No Change	NA
Mixed Use Development (MXD)	NA - PUD required	Not Specified	No Change	NA
High County Area (HCA)	1 DU / 35 acres + bonus per OLP	Not Specified	No Change	NA
West End (WE)	2 DU / 35 acres	Not Specified	No Change	NA
Rangeland Grazing (RG)	1 DU / 35 acres	Not Specified	No Change	NA

1C. Reduce Setbacks

Identified Barriers

Reducing lot coverage and setback standards for workforce housing projects can improve site efficiency and design flexibility while maintaining appropriate neighborhood scale. In the East End Master Plan, a recommended action is to “establish flexible front setback allowances that will encourage multi-family, mixed-use, and commercial developments that create a strong interaction with the street edge and support walkability”. Many of the dimensional standards in the current code already provide some increased flexibility for front setbacks through the PUD process, however, this project has identified that the County needs to reduce reliance on PUDs to ensure more predictability in development.

Recommendation

It is recommended to adopt setback allowances in the LD, MD, and HD zones that align with setbacks allowed under the PUD process in these zone districts. Once these setback allowances are adopted, the County should remove the current setback limits outlined for the PUD process so that these standards can be determined on a case-by-case basis, if different than the by right setback.

Table 6: Current and Recommended Setback Requirements – Proposed Recommendations

Zone District	Existing Setback (Front, Rear, Side)	Proposed Change (Front, Rear, Side), not including building envelope	Code Section to Update
Low Density (LD)	50', 50', 50'	25', 25', 25'	5-304G.II Setbacks

Zone District	Existing Setback (Front, Rear, Side)	Proposed Change (Front, Rear, Side), not including building envelope	Code Section to Update
Medium Density (MD)	30', 20', 20'	20' (10' for alley loaded lots), 20', 12.5'	5-303G.III Setbacks
High Density (HD)	30', 30', 30'	15' (10' for alley loaded lots), 15', 12.5' 15' perimeter for multi-household dwellings	5-302F.II Setbacks
All Other Zones	Varies	No Change	NA

1D. Allow Multiple Dwelling Units on Large Lots

Identified Barriers

By allowing multiple units on large lots, the code can help increase housing supply, and provide more options for families, seniors, and changing household needs. Relaxed standards could address requirements such as minimum lot size, setbacks, or density limits, provided that each dwelling is adequately served by infrastructure and that the overall site maintains compatibility with surrounding uses. This approach responds to modern housing demands and leverages existing land resources.

For rural properties with domestic well permits, the Division of Water Resources may allow up to three units to be served by the well. This presents an opportunity to allow a 2nd Caretaker or Secondary unit on these properties. The separation requirement between the Caretaker or Secondary unit and the primary dwelling could be relaxed, in exchange for deed restriction of the caretaker and secondary units and limiting the size of the principal dwelling.

Recommendations

It is recommended to allow one (1) Caretaker unit per 35-acre parcel as a use by right in the F zone district and one (1) additional ADU by administrative review. It is recommended to allow one (1) Secondary unit on a parcel 5 acres or larger in the WM and WMRA zone districts as a use allowed subject to administrative review, and to allow two (2) Secondary units per 35-acre or larger parcel in the WM and WMRA zone districts, also subject to administrative review. See redlined language in Appendix A, and additional recommendations for ADUs in Section 2D.

1E. Redefine the Community Housing Zone

Identified Barriers

The Community Housing (CH) zone was created in 2021 with the intent of facilitating affordable housing development. The standards themselves are strong and could serve as a model for reform – including high density allowances, parking maximums, housing diversity requirements, net-zero energy encouragement, no lot size minimums, and allowing missing middle housing types. However, this zone still requires discretionary Planning Commission and BOCC review, which can take upwards of 3-6 months and may not be compatible with *Prioritized Housing Review* as proposed in Section 3A. Many of the density and dimensional standards adjustments proposed in other zone districts throughout this audit report make the

CH zone less critical for higher density housing as they will provide the opportunity for development by right at similar densities to the CH zone district. However, those other zone districts do not require deed-restricted affordable housing development at the same level as the CH zone; in that way, the CH zone remains valuable as an alternative to the AH-PUD zone.

Height limitations have been noted as a factor in achieving optimal development in the CH zone district. San Miguel County currently limits building height to 35 feet (approximately three stories). While this is appropriate for the lower-density districts such as R, LD, and LDR, allowing additional height or density for developments that provide affordable units and multi-family housing could encourage projects in suitable areas with existing infrastructure and services. Buildings with larger footprints are penalized because of the way height is measured, especially if the building site is sloped. In the CH zone, additional height is allowed as an incentive for 'net-zero' development, which means producing enough energy through the use of measures such as solar panels, passive design, and other means to offset the energy consumed on an annual basis. This has been identified as a potential barrier to affordability given the extra construction costs to achieve 'net-zero' status. For context, the MXD zone allows additional height for affordable housing in excess of the required number of units. Encouraging net-zero development continues to be a goal of the County and should continue to be incentivized.

Recommendations

It is recommended that the following items be addressed in the CH zone district per the proposed redlined text in Appendix A:

- Revise purpose statement to better reflect community priorities;
- Allowing cohousing units; and
- Allow development up to 40 feet for multi-family buildings and up to 45 feet in height for development with more deeply affordable restrictions, in addition to development that will be net zero on an annual basis.

2. Standards for Additional Workforce Housing Types

As standards for additional workforce housing types are considered, it's important to evaluate their regional impacts and potential locations. Beyond the CH zone, residents in the west and east ends of the county have expressed frustration about where different housing types should be located and how infrastructure costs should be shared, especially given ongoing growth pressures and infrastructure constraints. However, not all affordable housing development needs to be high density, multi-family development – lower density options in most cases are more appropriate for the unincorporated county, while still allowing more diverse types than one single-household dwelling on a 35-acre lot.

It is strongly recommended to expand the allowance for additional housing types in more residential zone districts (including permitting duplexes, live/work units, cottage housing, and cohousing) to help address the need for affordable and workforce housing in the county. Allowing these housing types through an administrative review process, rather than the lengthy and discretionary PUD approval, can significantly reduce project timelines and costs, responding directly to feedback regarding delays and barriers in the existing system. Under the current framework, the PUD process can take twelve months to two or more years, requires multiple public hearings, and offers no by-right approval path for multifamily housing in the higher density zones. Streamlining the process for approval of a wider range of housing types in more districts will provide much-needed predictability, incentivize innovative and attainable housing options, and promote housing feasibility for residents and developers.

2A. Update Household Definitions

Identified Barriers

The current code combines townhomes into the definition of multi-family dwelling but they are distinctly different. A townhome is typically permitted as a single-family dwelling attached to other single-family dwellings side by side. A multi-family dwelling is typically permitted as a single building housing individual dwelling units or apartments.

Recommendations

It is recommended to separate the household definitions to establish 4 separate housing types and group them in Article 7 all together as a "dwelling":

- Duplex dwelling
- Single-household attached dwelling (Townhomes)
- Detached single-household dwelling
- Multi-household dwellings (apartments or condominiums)

It is also recommended to add a definition for *cohousing* that distinguishes it from *rooming houses*. The key distinction is that a rooming house is based on the rental of individual sleeping rooms, often with transient or unrelated occupants and shared facilities, whereas cohousing is an intentionally planned residential community where residents have their own sleeping and sanitation facilities and share common amenities and spaces, including a shared primary kitchen facility.

The definition of accessory dwelling unit includes standards and metrics that should be relocated to specific use standards, therefore an updated definition is being recommended in Appendix A.

All new or updated use terms will need to be updated in Article 5, Section 5-3, zone District Standards as well as anywhere else that the dwelling types are referred to. See Appendix A for redlines of Article 7.

2B. Expand Housing Type Use Allowances

Identified Barriers

Expanding by-right allowances for a broader range of housing types represents one of the most straightforward and effective ways to reduce regulatory barriers to housing development. In the current code, most housing options beyond single-household detached dwellings require discretionary review processes that add time, cost, and uncertainty for applicants. Community feedback identified these requirements as a significant obstacle to housing choice and affordability. Allowing compatible housing types through streamlined approval processes is a common best practice used by communities across the country to increase housing supply, support attainable housing opportunities, and provide a wider range of housing options while maintaining neighborhood character.

Recommendations

It is recommended to change the use allowances to allow for Duplex and Single-household Attached (townhomes) wherever single-household detached home types are allowed, provided that the project meets requirements for density allowances and review standards for public services, water supply, wastewater treatment, road access, wildlife friendly fences, environmental impacts, scenic views, and maintenance plans.

Text in black represents current allowances with proposed new text in red and text to be removed in ~~strikeout text~~. The proposed changes will also need to be made to LUC Section 5-3: - Zone District Standards.

Table 7: Current and Recommended Housing Type Allowances – Proposed Recommendations

Zone District	By Right	Admin Review	1-Step	2-Step	PUD
LD	Single-household detached dwelling with <12,000 sq. ft. of floor area; accessory dwelling units with up to 1,000 sq. ft. of floor area	Accessory Dwelling Units	Duplex dwelling buildings with <12,000 sq. ft. of total floor area	Single-household dwellings and duplex dwelling buildings with >12,000 sq. ft. of total floor area.	Duplex dwellings
MD	Single-household detached dwelling with	Accessory Dwelling Units	≤5-acres: Single-household attached	>5 acres: Single-household attached with 9-20 units;	Duplex residences; Multi-family residences

Zone District	By Right	Admin Review	1-Step	2-Step	PUD
	<12,000 sq. ft. of floor area; accessory dwelling units with up to 1,000 sq. ft. of floor area	Duplex dwellings	dwellings with 8 units or less	cottage housing; cohousing; multi-household with 20 units or less	
HD	Single-household detached dwelling with less than 12,000 sq. ft. of floor area; accessory dwelling units with up to 1,000 sq. ft. of floor area	Accessory Dwelling Units Duplex on parcels ≤5-acres	≤5 acres: Single-household attached dwellings; rooming houses; cohousing; cottage housing; RV, tiny home, yurt and other alternative living spaces (no more than 20% of total units)	>5 acres: Single-household attached; duplex; multi-household; cohousing; cottage housing; rooming house; RV, tiny home, yurt and other alternative living spaces (21% or more of total units)	Duplex residences; Multi-family residences
CH	Single-household detached dwelling with <12,000 sq. ft. of floor area; accessory dwelling units with up to 1,000 sq. ft. of floor area	NA	≤5 acres: Single-household dwellings, attached and/or detached; duplex; multi-household dwellings; rooming houses; RV, tiny home, yurt, and other alternative living spaces (no more than 20% of total units); cohousing; cottage housing	>5 acres: Single-household dwellings attached and/or detached; duplex; multi-household dwellings; rooming houses; RV, tiny home, yurt and other alternative living Spaces (21% or more of total units); cohousing; cottage housing; free-market (not deed restricted) dwelling units: a. Comprising 10% or less of the total units for a development that is not net zero on an annual basis; or b. Comprising 20% or less of the total units for a development that is net zero on an annual basis.	Free Market dwelling units comprising 11% of non net zero development or 21% of net zero development

Zone District	By Right	Admin Review	1-Step	2-Step	PUD
AH-PUD	Single-household detached dwelling;	NA	NA	NA	Duplex; single-household dwellings attached and/or detached; accessory dwelling units; multi-household dwellings; rooming houses; cohousing; cottage housing; live-work and mixed-use residential; RV, tiny home, yurt and other alternative living spaces
WMRR	Single-household detached dwelling (manufactured and mobile homes on permanent foundations)	Secondary dwelling unit(s)* with up to 2,000 sq. ft. of floor area	NA	Cohousing units	NA
WMLI	Single-household residential; Live/work dwelling Mixed-use residential	NA	NA	NA	NA
WMTR	Single-household detached dwelling (manufactured and mobile homes on permanent foundations); duplex	Secondary dwelling unit(s)* with up to 2,000 sq. ft. of floor area	Rooming House; Cohousing	Cottage Housing; multi-household	NA
F	Single-household detached dwelling; <12,000 sq. ft. of floor area, mobile home	Caretaker unit(s)*	NA	Cohousing units	NA

Zone District	By Right	Admin Review	1-Step	2-Step	PUD
HC	NA	NA	Affordable housing for persons employed on-site	Mixed-use residential	NA
I	Single-household detached dwelling	NA	NA	NA	Affordable Housing, accessory to a principal use, for persons employed within the PUD, and Live-work Housing; Mixed-use residential
PUB			Affordable Housing with at least 50% of the units reserved for employees employed on-site or for Essential Personnel		

Table 6: Current and Recommended Housing Type Allowances – No Substantive Changes Proposed

Zone District	By Right	Admin Review	1-Step	2-Step	PUD
LDR	Single-household dwelling on lots containing 35 acres or more, with a residence containing less than 12,000 sq. ft. of floor	NA	NA	NA	NA
R	Single-family dwellings	NA	NA	NA	NA
WMRA	Dwelling, Single-family (manufactured and mobile homes on permanent foundations); Secondary Dwelling Unit	NA	NA	NA	NA
PR	Single-household detached dwellings	NA	NA	NA	NA
PC	Single-household detached dwellings	Accessory Rental Dwelling Units for Persons Employed in the PC Zone District	NA	NA	NA
MH	Single-household detached dwellings; mobile home;		NA	NA	NA
MXD	NA	NA	NA	NA	Employee housing

*see LUC Section 5-307 and 5-319.2 for criteria for a second Caretaker or Secondary Dwelling Unit

2C. Expand Allowances for Mixed-Use Workforce Housing

Identified Barriers

Live/work units are currently defined in the code (Section 5-1305B.V) as “a multi-family structure located within the Low Intensity Industrial (I) Zone containing Affordable Housing dwelling units, and industrial space.” This definition could be expanded to include commercial, mixed-use, and higher density residential zones, with the option to house any workers in the R-1 Telluride School District area or larger region, rather than limiting to on-site employees only. The East End Master Plan currently recommends incorporating live-work units into Commercial/Industrial zones, as well as expanding opportunities to create live-work dwelling units as an accessory use in commercial development.

Recommendations

As the intention behind live-work housing is to allow workforce housing mixed in the commercial uses, it is recommended to replace the terms *live-work housing* and *live/work dwelling* with the term *mixed-use residential* and define the new term in Article 7 (see redlines for Section 2A in Appendix A). The existing references to live-work housing in the Wright’s Mesa zone districts should then be changed to mixed-use residential and the use expanded to include AHPUD, Commercial, and Industrial zone districts to house off-site workers. See *Table 7 and 8* in Section 2B for changes to use allowances and make the changes suggested below:

- Section 5-309D – PUD Use Allowances, references live-work housing as defined in 5-1305B – this reference should be changed to mixed-use residential.
- Section 5-319.2D.III Wrights Mesa Light Industrial zone district references live-work units and Table 5-319.2-3 lists live/work dwelling as a permitted use subject to compliance with additional regulations – these references should be change to mixed-use residential
- Section 5-1305B – Definitions, includes the term live-work housing which should be changed to reference Article 7 – Definitions.

2D. Expand ADUs Allowances

Identified Barriers

Although Accessory Dwelling Units (ADUs) are currently permitted in the higher-density residential districts through administrative approval, the County could strengthen this allowance by making them a by-right use and introducing incentives to encourage their development. The difference is that *by-right* allows the use outright with the application of a development permit and administrative approval requires submission of an application for review and decision by the Planning Director based on a standard set of criteria.

Additionally, the County could provide pre-approved architectural templates to reduce design costs as well as consider increasing the maximum size allowance for ADUs that are deed-restricted. ADUs would continue to be restricted from short-term rental use (less than 30 days), with the current provisions allowing them to be voluntarily deed-restricted in exchange for an Employee Housing Impact Fee credit.

Recommendations

It is recommended to allow ADUs by-right in the LD, MD, HD, CH, and WMTR zones. See *Table 7* in Section 2B. The floor area of ADUs should also be increased from 800 square feet to 1,000 square feet.

2d.2. Allow Bonus Caretaker Units

Identified Barriers

The F zone allows a caretaker unit of up to 2,000 sq. ft. on parcels that are larger than 35 acres, and on parcels that are 5-35 acres in the Telluride R-1 School District as Use Allowed Subject to Administrative Review. Caretaker units are prohibited in the San Miguel Canyon because most properties are small and on residential wells, which are restricted to one dwelling unit only. Domestic well permits, which are issued to larger parcels by the Colorado Department of Water Resources, typically allow up to three dwelling units. The code currently limits properties to two dwellings – the primary dwelling and the caretaker unit.

Similarly, the Wright's Mesa (1991) and WMRA (2010) zone districts allow a Secondary Dwelling Unit as a Use Allowed Subject to Administrative Review and subject to certain qualifications. The WMRA district allows 2500 sq. ft. and WM allows 2000 sq. ft., which is inconsistent.

There is the capacity to allow two Caretaker or Secondary Dwelling Units on properties with domestic well permits, or that are served by a water provider, in exchange for deed-restricting one or both of the units. Relief could also be given to deed-restricted units by allowing them to be located more than 300 feet from the primary residence.

Recommendations

It is recommended to expand the Caretaker or Secondary Dwelling Unit allowance in the F and WMRA zone districts to two units on properties already eligible to have that type of unit, subject to demonstrating that the property has a domestic well permit issued by the State Division of Water Resources for three units. It is recommended that at least one caretaker unit be deed-restricted and the process remain as administrative review due to approval criteria.

Additionally, it is recommended to allow caretaker and secondary dwelling units to be located up to 450 feet from the primary dwelling if such unit is deed-restricted.

2E. Incorporate Cottage Housing, Cohousing, and Tiny Homes

Identified Barriers

The current WMTR zone district includes cottage housing but other districts are silent on this housing type. Additionally, LUC Table 5-319.2-3 lists cottage housing as an SUP through a 2-step process; however, in LUC Table 5-319.2-4 and in the special use standards it is listed as "allowed by PUD", which is conflicting. One effective way to achieve middle density while maintaining existing community character is to allow for clustering of small units on a single parcel of land. Cottage housing typically includes smaller footprint homes for rent or condominium ownership, organized around common open space. Many communities have utilized this housing type to accommodate tiny home communities.

Rooming houses are allowed in CH, PR, R, AH-PUD, and WMTR but as discussed in Section 2A, there is a distinct difference between rooming houses and cohousing. Cohousing can help

provide housing options for local workers, seniors, and year-round residents by reducing individual housing costs through shared amenities and common spaces. It also fosters social connections, resource sharing, and a strong sense of community, helping maintain a stable resident population and preserving community character in areas often challenged by seasonal occupancy and housing affordability pressures.

Recommendations

It is recommended to expand the allowance of cohousing in the F, WMRR, AH-PUD, CH, MD, and HD zones, when the applicant has demonstrated sufficient water capacity to serve the additional units (see *Table 7* for specific redlines).

Tiny homes, RVs, yurts, and other alternative living spaces are currently allowed in the CH zone. Consider allowing these uses through a 1-step or 2-step process in the CH and HD zones when they will house members of the seasonal workforce.

Expand the use of cottage housing to more than the WMTR zone district to be allowed by a 1-step or 2-step process in the MD, HD, CH, and WMTR zones per *Table 7* of this report. Move the definition from LUC Section 5-319.2K to Article 7. Add cohousing standards to LUC Section 5-10 as well. See Appendix A for redlines to the specific cottage housing and cohousing standards that need to be moved to LUC Section 5-10: - Special Uses.

3. Options for Streamlined Application Procedures

3A. Implement a Streamlined Review Process for Affordable Housing

Identified Barriers

Developers expressed that the time-intensive application process is a significant disincentive to creating affordable units. Even the perception of lengthy processes can deter developers from creating affordable workforce housing development in San Miguel County. Many noted that it is difficult or impossible to build missing-middle housing, a strong community desire, without going through the PUD process, an unpredictable and non-transparent process. This additional layer of review increases costs through significant entitlement delays and uncertainty, discouraging private investment in workforce and affordable housing. In addition, the building season is short in San Miguel County since it depends on climate and weather conditions; therefore, prolonged or time-intensive application processes can eat into the building season and drive the price of construction above what would be feasible for developers to price units at affordable rates.

Current Process

The majority of residential development applications that would likely be used for workforce housing require going through the PUD process, which typically takes 18-36 months to complete. The County's current zoning framework establishes a clear, but often lengthy, review process for most higher-density residential zones that could accommodate affordable or workforce housing. The HD zone and workforce-oriented zones like CH and AH-PUD allow a broader range of housing types at 15-20 units per acre but still require multi-step review processes lasting 6 to 12 months or more. By comparison, residential development in single-household zones like F and WM is reviewed administratively and can move from application to approval in just 4-6

weeks. This imbalance underscores the need for an expedited review process for affordable and workforce housing to reduce permitting timelines in zones that may be able to support higher density and mixed-income development.

To alleviate these barriers and stay compliant with Proposition 123 requirements, the County adopted the Prioritized Housing Review program on June 3, 2026 with the following customizations to the minimum requirements:

- Increase rental housing AMI requirement from 60% AMI to 120% AMI, and for-sale housing from 100% AMI to 200% AMI
- Customize list of applications to those that are in the San Miguel County LUC
- Include a list of ineligible applications as well as those that are eligible
- Clarify that all other standards and procedures still apply to all applications

Recommendation

The County should track trends related to the number of successful Prioritized Housing Review applications annually, including number of applications, number of extensions needed, review times for each application, and level of affordability. The Prioritized Housing Review process should be posted clearly on the housing page of the County's website with affordable housing developers encouraged to submit eligible applications.

3B. Reduce Reliance on Planned Unit Developments (PUDs)

Identified Barriers

Nationwide, many communities are shifting away from the use of PUDs due to complexity in administering PUD standards, unpredictable standards, and lack of flexibility within the PUD approval. Traditionally, PUDs were used to "negotiate zoning" in exchange for community benefits, often resulting in mixed use developments, residential subdivisions with smaller lots or reduced setbacks, or unique developments that were not otherwise allowed by the land use code but met community goals. However, the initial approval process for PUDs is lengthy, and long-term enforcement of standards is tricky. Additionally, as communities evolve and new priorities emerge, amending PUDs has been difficult and lengthy. As a result, many communities are reducing their dependence on PUDs to meet community goals by revising zone district standards like minimum lot size and density and use allowances. The County's use of PUDs is a remainder from the 1980s and early 1990s, when the County first began seeing major developments.

San Miguel County's current PUD process is very lengthy, requiring multiple Planning Commission and Board of County Commissioner approvals, taking 18 months or more. The LUC contains standards for Insubstantial PUD amendments (LUC Section 5-1502), which can be approved administratively with sign-off by the BOCC, and Substantial PUD amendments, which are considered as a two-step process (LUC Section 5-1503). The threshold between Insubstantial and Substantial could be evaluated to determine if more changes could be considered administratively. That is outside the scope of this project.

The PUD-based zoning established in the late 80s and as envisioned by the 1989 Telluride Regional Area Master Plan has been fully utilized. All land zoned PUD-R has been rezoned. It would be appropriate to amend certain zone districts, especially the LD, MD and HD zones, to

eliminate the need for PUDs. The AH-PUD, LDR and MXD zones have specific purposes and as such, PUDs should remain the mechanism for approving development.

Recommendations

Implementing the recommendations contained in Sections 1 and 2 related to lot sizes and density increases, setback reductions, and adjusted use allocations would facilitate the removal of a PUD requirement for larger developments in the county

4. Regulatory Incentives for Affordable Housing Development

In addition to allowing greater residential densities where appropriate, incorporating various development incentives into zoning regulations is a tool for the County to encourage the development of affordable and workforce housing rather than requiring it. Development incentives can range from reduced site requirements, waived permitting fees, shared parking allowances, density and height bonuses, and expedited permitting procedures. Community members and developers alike have expressed interest in shifting away from restrictive requirements toward incentives, such as fee reductions, density bonuses, and expedited reviews, which make workforce housing more financially viable. The following recommendations apply only to qualifying affordable or workforce housing development applications.

4A. Establish Qualifying Criteria for Affordable Housing Incentives

Identified Barriers

If the County moves forward with enabling incentives for affordable housing such as density bonuses, clear affordability definitions and qualifying criteria must be established. These provisions should identify the level of affordability required for both rental and ownership housing, the period of affordability required, and whether to limit eligibility to housing serving the local workforce.

"Affordable housing" is already defined in Section 5-1305B of the existing code as "Residential dwelling units in the Telluride Region that are permanently deed restricted by the County's R-1 Housing Deed Restriction to limit use and occupancy to persons (and their families) who live and earn their livings primarily in the R-1 School District of San Miguel County, or such other deed restriction as approved by the BOCC."

Community members indicated that the current deed restrictions and overall process may not be working well, with many seasonal employees and new arrivals exempt from qualifying for deed-restricted housing. To qualify now by SMRHA standards, an ownership applicant must be either a current local employee, a retired or disabled local employee, or meet an alternative standard with income not exceeding 100% AMI. For rental projects, units cannot be rented to qualified tenants for less than 12 months. Qualified tenants must work a minimum of 1200 hours per year with a minimum of 40 hours in each of the last 8 months, and the majority of household income must come from employment from within the boundaries of the Telluride R-1 School District.

Recommendations

It is recommended to continue researching options for refining the definition of affordable housing to include seasonal workers as well. This will require coordination with the San Miguel Regional Housing Authority. Amendments to deed restrictions and covenants, and to Section 5-13, are outside the scope of this project.

5. General Code Structure Enhancements

Community members expressed a need for a clearer code and a more transparent process. Some want more clarity around the Community Housing zone, including its purpose, criteria, and where it applies. Others are looking for more predictable and transparent steps for applying to build affordable housing units. These improvements could extend across the entire code, using visual aids like graphics to explain concepts and standardized tables and definitions to support consistency.

Modernizing code structure by unifying tables and definitions, and expanding visual communication tools, makes the code more user-friendly for public and professional audiences. A clear, navigable land use code reduces errors, speeds up project approvals, and could potentially lower compliance costs. Improved code organization and presentation are proven best practices in housing affordability reforms nationally, helping local governments provide greater regulatory predictability while increasing opportunities for new and diverse housing supply.

To unify the code structure, the following measures are recommended to be implemented in the future as part of a more comprehensive LUC update:

- **Standardize definitions and terms.** Every term used within the code should be clearly defined and uniformly applied, supporting accessible and predictable enforcement.
- **Create consolidated use tables for all zone districts.** Land uses should be consistently listed and categorized, eliminating disparities and reducing confusion between different areas, such as Wright's Mesa compared to other parts of the county.

Example Use Table

Table 3.4: Schedule of Use Regulations										Use Standards
Use Type	RE Zoning District	R-1 Zoning District	R-2 Zoning District	R-3 Zoning District	O Zoning District	CBD Zoning District	C Zoning District	NB Zoning District	I Zoning District	
Residential Uses										3.06.3
Dwelling, accessory unit - ADU	P	P	P	P		P	P	P		<u>3.06.3B</u>
Dwelling, cottage cluster			P	P			C			<u>3.06.3C</u>
Dwelling, duplex			P	P			C	P		<u>3.06.3D</u>
Dwelling, single-family attached (up to 6 units)			P	P			C	P		<u>3.06.3E</u>
Dwelling, single family attached (7 or more units)			C	P			C	C		<u>3.06.3E</u>
Dwelling, single-family detached	P	P	P	P			C	P		<u>3.06.3F</u>
Dwelling, manufactured home			P	P			C			<u>3.06.3G</u>
Dwelling, micro-home			P	P			C	P		<u>3.06.3H</u>

- **Integrate a development standards matrix.** Presents key standards (including maximum zoned density, height limits, site area, coverage, and wall/fence standards) within a single, easy-to-read table for every zone, allowing direct comparison and clear expectations for future development.

Example Development Standards Table

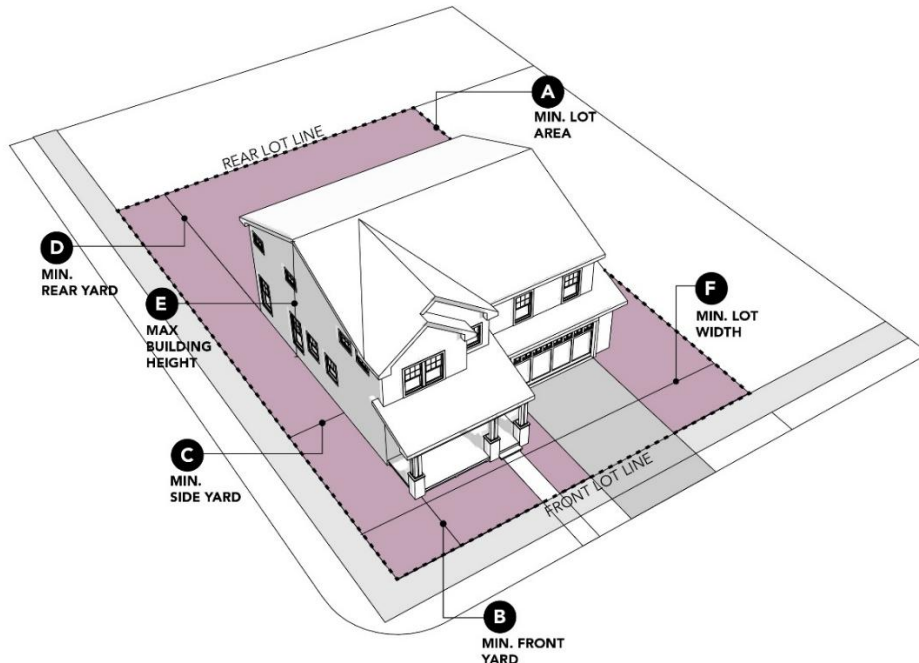
Table 3.1 – Residential Dimensional Standards ⁽¹⁾				
	Zoning District RE	Zoning District R-1	Zoning District R-2	Zoning District R-3
Minimum lot area (sq. ft.)	43,560 sf	6,000 sf	4,000 sf for single-family detached dwelling unit	4,000 sf for single-family detached dwelling unit
Residential density (units/acre)	-	-	16 units/acre ⁽²⁾ for all dwellings, except for single-family detached	20 units/acre ⁽²⁾ for all dwellings, except for single-family detached
Min. front yard setback (ft.) ⁽³⁾	50'	15' 20' to garage	15' 20' to garage	15' 20' to garage
Min. side yard setback – interior lot (ft.)	50'	5'	5' 10' for multi-family dwellings	5' 10' for multi-family dwellings
Min. side yard setback – corner lot (ft.)	15'	15'	15'	15'

- **Improve code clarity with visual aids.** Enhance understanding of complex regulations by incorporating graphics, tables, charts, and illustrations to visualize setbacks, height limits, and permitted uses as applied within each zone district.

Example Development Graphic Illustrating Measurement of Dimensional Standards

RESIDENTIAL DIMENSIONAL STANDARDS

A: Min Lot area/unit E: Max. Building Height
 B: Min. Front Yard F: Min Lot Width
 C: Min. Side Yard
 D: Min. Rear Yard



Appendix A: Code Redlines

The sections below include the proposed redlines to existing Code language per recommendations in the Analysis and Recommendations section of this report. Text in black represents current Code language with proposed new text in red underline and text to be removed in ~~red strikeout~~. *** indicates text preceding and following the amended text that is not shown and is unchanged. Text in red with yellow highlight is notes to the reader, not meant for inclusion in the Code.

Redlines for Recommendation 1E. Redefine the Community Housing Zone:

5-324 Community Housing (CH)

5-324A Purpose

The purpose of the Community Housing zone district is to provide areas suitable for the development of ~~high-density, clustered~~ housing for people who live and work within San Miguel County. ~~Housing may be in attached or detached single-family homes, duplexes, multi-family buildings, or rooming houses. Development may also include alternative living units such as spaces for RVs, tiny homes or yurts.~~ Dwelling units shall be subject to the County's R-1 Housing Deed Restriction (see Section 5-1304 and 5-1305), ~~except for unless~~ free-market units that may be ~~are~~ allowed within the development.

Properties that may be considered for rezoning to the Community Housing (CH) zone district shall be located within the Telluride R-1 School District boundaries. Zone districts that are most appropriate for rezoning to CH are those that can be served by municipal water ~~and wastewater~~ systems or where community water and wastewater service can be developed., ~~including Low Density (LD), Low Density Residential (LDR), Medium Density (MD), and High Density (HD). The Forestry, Agriculture, and Open (F) zone district may be considered where water can be developed.~~ Properties that are zoned High Country Area (HCA) or Rangeland Grazing (RG) shall not be considered for rezoning to CH. The maximum density of twenty (20) units per acre may be higher than that found in surrounding areas. It is the position of the County that housing for people who live and work in the local communities is a high priority. When rezoning land to the CH zone district, the higher density that may be achieved in that zone shall not be considered incompatible with surrounding land uses, neighborhood characteristics or community character.

Clustered development is encouraged to maintain open space, to be efficient in design and construction of infrastructure, and to mitigate impacts on adjacent properties. Recreational, civic and public uses may be part of the development where appropriate. All development shall include appropriate guarantees for the protection of public health, safety and welfare, which shall include, but are not limited to, provision of water and wastewater treatment; mitigation of geohazards; site access; and any other applicable site-specific considerations.

All development in the Community Housing zone district is encouraged to include energy efficient design and alternative energy generation such as solar power. Net zero development — producing enough energy through the use of measures such as solar panels, passive design, and other means to offset the energy consumed on an annual basis — is strongly encouraged. Sites that are not suited to net-zero development should strive to be as energy efficient as possible, through design, construction, and building systems.

5-324B Uses Allowed by Right

I. Single-household detached dwelling with three thousand (3,000) sq. ft. of floor area or less;

II. Accessory Dwelling Unit;

III. Customary residential accessory buildings and uses;

IV. Day care homes; and

V. Home occupations.

5-324C Uses Allowed Subject to Administrative Review

I. Temporary Alternative Living Space sites;

II. Day care centers;

III. Public transportation facilities primarily serving the development; and

IV. Public utilities and infrastructure to primarily serve the development.

5-324D Uses Allowed Subject to One-Step Planning Commission Review

I. Dwelling units - on parcels five (5) acres or less:

a. Single-~~familyhousehold~~ dwellings, attached and/or detached with more than 3,000 sq. ft. of floor area;

b. Single-household attached dwellings with three thousand (3,000) sq. ft. of floor area or less;

cb. Duplexes;

de. Multi-~~familyhousehold~~ dwellings;

ef. Rooming houses;

fg. RV, tiny home, yurt and other Alternative Living Spaces (no more than twenty percent (20%) of total units);

g. Cohousing; and

h. Cottage housing

II. Churches, community meeting halls, libraries, and other civic and community-serving facilities;

III. Parks, playgrounds, playing fields, and other recreational facilities to serve residents of the development; and

IV. One (1) Free-market (not deed restricted) dwelling unit, similar in size to the deed-restricted dwelling unit(s).

5-234E Uses Subject to Two-Step Special Use Permit Review

- I. Dwelling units - on parcels greater than five (5) acres:
 - a. Single-~~family household~~ dwellings, attached and/or detached;
 - b. Duplexes;
 - c. Multi-~~family household~~ dwellings;
 - d. Rooming houses;
 - e. RV, tiny home, yurt and other Alternative Living Spaces (twenty-one percent (21%) or more of total units);
 - f. Cohousing
 - g. Cottage housing
 - II. Parks, playgrounds, playing fields, and other recreational facilities to serve residents of the development and regional residents;
 - III. Fire stations, schools, and other public facilities and uses; and
 - IV. Free-market (not deed restricted) dwelling units:
 - a. Comprising ten percent (10%) or less of the total units, and ten (10) percent or less of the gross square footage, for a development that is not net zero on an annual basis; or
 - b. Comprising twenty percent (20%) or less of the total units, and twenty (20) percent or less of the gross square footage, for a development that is net zero on an annual basis.
- 5-324F Uses Allowed Subject to Board of County Commissioner Approval Pursuant to Planned Unit Development (PUD) Procedure
- I. Free-market (not deed restricted) dwelling units:
 - a. Comprising eleven percent (11%) or more of the total units for a development that is not net zero on an annual basis; or
 - b. Comprising twenty-one percent (21%) or more of the total units for development that is net zero on an annual basis;
 - II. Neighborhood Commercial Uses that offer goods and services needed by residents of the PUD on a daily or frequent basis, including convenience store, drug store, liquor store, self-service laundry, medical and dental offices and clinics, and postal service substation; and
 - III. Flex Space.
- 5-324G Area and Bulk Requirements ~~Permitted by Right~~
- I. Maximum Density — twenty (20) units per acre
 - II. Minimum Lot Area — None
 - III. Setbacks

- a. Setbacks from any development to property lines of any abutting parcel zoned other than Community Housing and to any right-of-way—twenty (20) feet;
- b. Front yard — ten (10) feet to adjacent buildings; otherwise, to allow flexibility in the design process, there is no minimum internal front yard setback;
- c. Rear yard — ten (10) feet to adjacent buildings; otherwise, to allow flexibility in the design process, there is no minimum internal rear yard setback;
- d. Side yard:
 - i. Detached Principal buildings — ten (10) feet to adjacent buildings;
 - ii. Attached Principal buildings — zero (0) feet on the attached side(s) and ten (10) feet to adjacent buildings on the detached side.
- e. Accessory buildings — five (5) feet to the nearest building(s), all sides.

IV. Maximum Floor Area:

- a. Principal Dwellings: three thousand (3,000) square feet
- b. Accessory Dwellings: one thousand (1,000) square feet

V. Maximum Building Height:

- a. Thirty-five (35) feet for development that is not net zero on an annual basis and does not meet greater affordability thresholds; or
- b. For development that is net zero on an annual basis, forty-five (45) feet.
- c. Forty (40) feet when 50% of the development meets the following criteria:
 - iii. Rental housing that is affordable, meaning costs less than 30% of the household's income, to households earning at or below one hundred twenty percent (120%) Area Median Income (AMI); or
 - iv. For-sale housing that is affordable, meaning costs less than 30% of the household's income, to households earning at or below two hundred percent (200%) AMI.

VI. Minimum Common Open Space — thirty (30) percent ~~(30%)~~; to be developed as either Active or Passive Open Space.

VII. Minimum Off-street Parking

Clustered parking areas are encouraged. Off-street parking shall be provided for each principal use as required in Section 5-702, with the following exceptions:

- a. Studio and one (1) bedroom dwelling units: one (1) parking space per unit;
- b. All other dwelling units: two (2) spaces per unit;
- c. Rooming house: one (1) parking space per sleeping room, except where the property is served by public transit, in which case the parking requirement shall be two (2) spaces for every three (3) sleeping rooms;

- d. Alternative Living Spaces: one (1) parking space per unit.

5-234H Review Standards

Redlines for Recommendation 2A and 2E.

The following changes are proposed to the existing language in Article 7 – Definitions:

Accessory Dwelling Unit *(move metrics and standards to Section 5-1302)*

~~An additional dwelling unit, limited to a maximum of eight hundred (800) square feet, accessory to a single-family residence in the High Density, Medium Density or Low-Density Zone District. The Floor Area of the Accessory Dwelling Unit shall be included in the Calculation for employee housing Impact Fee mitigation as defined in, and is subject to, Section 5-13 of this Code unless such unit is voluntarily deed restricted pursuant to LUC Section 5-1303G.XIX.~~

A secondary dwelling that is either attached to or detached from the primary single-household residence on a parcel of land zoned for residential use. It shall include permanent provisions for living, sleeping, eating, cooking, and sanitation. This type of use is intended to provide a mechanism to help meet the need of affordable housing by allowing accessory residential dwelling units under certain circumstances in areas normally restricted to a single unit, while preserving existing single-household character.

Cohousing *(Moved from Section 5-319.2K)*

A residential development composed of independent dwelling units organized around shared indoor and outdoor common spaces and amenities intended to support community interaction among residents. Each dwelling unit shall contain its own living, sleeping, and sanitation facilities. Cohousing is distinct from a rooming house, boarding house, or other form of group living where residents occupy individual rooms rather than complete dwelling units.

Common Open Space

A parcel of land, area of water, or a combination of land and water within the site ~~designated for a planned unit development~~ designated and intended primarily for the use or enjoyment of residents, occupants and owners ~~of the planned unit development associated with a development or subdivision~~. The common open space presumes Passive Open Space. Recreation Areas or Active Open Space shall be permitted within Common Open Space as allowed by Planning Commission or Board of Commissioner review. Common Open Space is presumed to be private unless otherwise agreed to by the landowner and the Board of Commissioners.

Cottage Housing

A comprehensive development consisting of small, independent dwelling units (cottages) on a single lot. Individual dwelling units are clustered around a shared courtyard (common open space) with off-street parking and access. The development may include shared community facilities.

Note: definitions for all dwelling types are moved under “Dwelling Unit” as follows:

Dwelling Unit

A separately enterable, self-sufficient room or combination of rooms containing kitchen and bath facilities and designed for or used as a residence by an individual, single family, household, or guests, independent of other families, households, or guests.

Dwelling, Duplex Residence

A single structure on a single lot containing two attached dwelling units under common ownership or within a condominium or duplex ownership structure with the units either side-by-side or in an over-under configuration. In the side-by-side configuration, the units share a common wall, while in the over-under configuration, they are stacked. A minimum of twenty percent (20%) of the length of the two (2) walls in common shall be shared between the units, regardless of whether the wall is shared by all floors of the units. The shared walls in common shall not be the walls of a breezeway, or similar accessory structure, but may include the walls of a garage.

Dwelling, Multi-household family Unit

A dwelling unit in a structure containing three (3) or more such dwelling units, not including hotels and lodges, but including town houses, A building containing three (3) or more dwelling units designed for occupancy by multiple households, where units may be arranged side-by-side, stacked vertically, or both, and where dwelling units share common walls, floor/ceiling assemblies, or other common building elements. This use includes apartments and similar residential building types. Multi-household dwellings may include with accessory use facilities limited to an office, laundry, recreation facilities and off-street parking used by the occupants. One (1) or more dwelling units located within an office, retail, or service commercial building, including (a) Live-work Housing unit(s) (See Section 5-1305B.V), shall also be considered (a) multi-family dwelling unit(s).

Single-family Dwelling (same as Single-family Residence)

Dwelling, Single-household Attached

Three (3) or more residential dwelling units arranged side-by-side, where each unit extends from foundation to roof, shares at least one (1) or more common walls with adjacent units, has independent exterior access, and is located on an individually platted lot or is capable of being individually owned.

Dwelling, Single-household Detached family Residence

An individual residential dwelling that is developed with open yards on all sides of the dwelling unit. Single-household detached dwelling family Residence includes all manufactured housing (pursuant to C.R.S. 30-28-115(3)), including all mobile homes on permanent foundations, but does not include recreational or other wheeled vehicles.

Mixed Use Residential

A development that combines housing units with one (1) or more nonresidential uses, such as retail, office, service, civic, or restaurant uses, within the same building or on the same development site.

Rooming House

Any structure where persons are housed ~~for compensation~~, by the day, ~~or~~ week, ~~or~~ month including hotels, motels, lodges, boarding houses ~~and dwellings into which the general public is received~~. Each room intended for sleeping shall be maintained in a clean and sanitary condition and has:

- (1) At least seventy (70) square feet of habitable floor area;
- (2) At least thirty (30) additional square feet of floor space for each additional intended occupant;
~~and~~
- (3) Access to a flush toilet, lavatory, basin, and tub or shower in working order and properly connected to water and sewer systems, with a minimum of one (1) toilet for each four (4) occupants; and

(4) Access to cooking facilities or provision of meals to all occupants.

Sleeping shall not be permitted in the halls of rooming houses without the express permission of the Board of County Commissioners in response to a public emergency.

Secondary Dwelling Unit

A Secondary Dwelling Unit is a second residence on an existing parcel located within the Wright's Mesa (WM) or Wright's Mesa Rural Agriculture (WMRA) zone district. Secondary Dwelling Units may be attached to or detached from the primary residence.

Secondary Residential Unit

A second dwelling unit accessory to the principal single-household unit on the property. See also Accessory Dwelling Unit, Caretaker Unit, and Secondary Dwelling Unit.

Redlines for Recommendation 2D.

5-1302 Subordinate Residential ~~Accessory Dwelling~~ Units

5-1302A. Applicability

Subordinate Residential Units include Accessory Dwelling Units, Caretaker Units, and Secondary Dwelling Units and One (1) accessory dwelling unit per lot or parcel may be approved in certain the HD, MD and LD Zone Districts subject to compliance with the standards in this section and the applicable Zone District. Refer to sections 3-4 and 4-7 for procedures and submission contents.

5-1302B. Accessory Dwelling Unit Standards

- I. An accessory dwelling unit shall not be:
 - a. Rented for a term less than six (6) months.
- II. An accessory dwelling unit shall:
 - a. Provide off-street parking in compliance with Section 5-702;
 - b. Be limited to a maximum floor area of ~~eight hundred (800)~~ one thousand (1,000) square feet;
 - c. Be built in accordance with the County's adopted Building Code;
 - d. Be attached to the main residence, unless either no higher than sixteen (16) feet or located within a customary residential accessory building, such as a garage;
 - e. In combination with the principal residence not exceed the maximum allowable floor area of the applicable zone district; and
 - f. Comply with the San Miguel County Sanitation Regulations.
- III. The floor area of the accessory dwelling unit shall be included in the calculation for employee housing impact fee mitigation as defined in, and is subject to Section 5-13 03G of this Code unless such unit is voluntarily deed restricted pursuant to LUC Section 5-1303G.XIX.
 - a. Accessory dwelling units (ADU) that are voluntarily deed-restricted in exchange for an Employee Housing Impact Fee credit shall be subject to the County R-1 Housing Deed Restriction (see Sections 5-1304 and 5-1305) and ADU Deed Restriction Covenant.

5-1302C. Caretaker Unit Standards *(strike from Section 5-307C.I)*

- I. A Caretaker Unit shall be allowed:
 - a. On all parcels thirty-five (35) acres or larger; and
 - b. On parcels five (5) to thirty-five (35) acres in the Telluride R-1 School District;
 - c. Except no caretaker units shall be allowed in the San Miguel Canyon Area.
- II. A Caretaker Unit shall:
 - a. Be attached to or located within three hundred (300) feet of the primary residence (as measured between the closest exterior walls);
 - i. The distance to the Caretaker Unit may be increased to four hundred (400) feet if the Caretaker Unit is voluntarily deed-restricted subject to the County R-1 Housing Deed Restriction (see Sections 5-1304 and 5-1305);
 - b. Contain no more than two thousand (2,000) sq. ft. of floor area; and
 - c. Contain full kitchen and bathroom facilities.
- III. A Caretaker Unit shall not be:
 - a. Rented for a term less than six (6) months; and

- b. Conveyed or sold separately from the remainder of the parcel and shall remain under the same ownership as the primary residence.
- IV. A second Caretaker Unit may be allowed on parcels greater than thirty-five (35) acres provided:
 - a. The property has a domestic well permit issued by the Colorado Division of Water Resources for three (3) dwelling units;
 - b. The second Caretaker Unit shall be voluntarily deed-restricted subject to the County R-1 Housing Deed Restriction (see Sections 5-1304 and 5-1305).
- V. The Floor Area of the Caretaker Unit shall be included in the calculation for employee housing Impact Fee mitigation as defined in Section 5-1303G of this Code unless such unit is voluntarily deed restricted pursuant to LUC Section 5-1303 G.XIX.
 - a. Caretaker Units that are voluntarily deed-restricted in exchange for an Employee Housing Impact Fee credit shall be subject to the County R-1 Housing Deed Restriction (see Sections 5-1304 and 5-1305) and ADU Deed Restriction Covenant.

5-1302D. Secondary Dwelling Unit Standards *(strike from Section 5-319.1D.I and Section 5-319.2H.II.d)*

- I. A Secondary Dwelling Unit shall be allowed in the Wright's Mesa (WM) and Wright's Mesa Rural Agriculture (WMRA) zone districts on all parcels five (5) acres or larger and subject to the requirements of 5-319.1D if located in the WM zone district and 5-319.2H.II.d if located in the WMRA zone district
- II. A secondary dwelling unit shall:
 - a. Be attached to or located within three hundred (300) feet of the primary residence (as measured between the closest exterior walls);
 - b. Contain no more than two thousand square feet floor area in the Wright's Mesa (WM) zone district, and no more than two thousand five hundred (2,500) square feet floor area in the Wright's Mesa Rural Agriculture (WMRA) zone district; and
 - c. Contain full kitchen and bathroom facilities.
 - d. A secondary dwelling unit more than three hundred (300) feet from the primary residence shall only be permitted by special use review.
- III. Ownership: Secondary dwelling units shall not be conveyed or sold separately from the remainder of the parcel and shall remain under the same ownership as the primary residence.

Redlines for Recommendation 2E.

5-1010 – Standards for Cohousing *(new section)*

- I. Cohousing shall comply with the following standards:
 - a. Each development shall adhere to the density and dimensional standards per the zone district with a maximum of four (4) people per dwelling unit.
 - b. Each dwelling unit:
 - i. Shall contain private living and sleeping space for the exclusive use of the residents; and
 - ii. May include a kitchenette consisting of a sink, refrigerator, microwave, electric cooktop, or similar limited food preparation facilities, although not required.
 - c. Each cohousing development shall provide one common house or shared facility which shall contain:
 - i. A minimum of fifty (50) square feet of floor area plus (10) square feet per dwelling unit, whichever is greater; and
 - ii. A common kitchen and dining area capable of serving the residents of the cohousing development.
 - iii. The shared facility may also include meeting rooms, recreation space, guest accommodations, coworking space, workshop areas, laundry facilities, or other similar communal amenities.

~~5-319.2.H. Use-Specific Standards~~ **5-1011 – Standards for Cottage Housing** *(moved from Section 5-3 Zone Districts to Section 5-10 Special Uses)*

~~H. Residential~~

~~a. Cottage Housing~~

- I. Cottage housing shall comply with the following standards:
 - a. Lot Area (Minimum and Maximum): Minimum lot area shall be ~~thirty thousand (30,000) twenty thousand (20,000)~~ square feet. ~~Maximum lot area shall be forty-five thousand (45,000) square feet.~~
 - b. Number of Units (Minimum and Maximum): Shall include a minimum of four (4) cottage dwelling units and a maximum of nine (9) cottage dwelling units, all included in one (1) development application.
 - c. Size of Units: ~~A detached~~ Each cottage dwelling unit shall ~~not be greater than eight hundred fifty (850) square feet in lot coverage or have~~ a maximum floor area of one thousand five hundred (1,500) square feet ~~or 1.5 times the lot coverage, whichever is less.~~
 - d. Common Open Space: Each cottage ~~dwelling unit development~~ shall include a minimum of two hundred fifty (250) square feet of common open space per dwelling unit. At least fifty percent (50%) of ~~each the~~ cottage dwelling units shall abut common open space. ~~All cottage dwelling units shall be within sixty~~

~~(60) feet of common open space, and the common open space shall have cottage dwelling units abutting at least fifty percent (50%) of its boundaries.~~

- e. ~~All common open space shall be held in common ownership by a legal instrument such as an easement or deed restriction that guarantees access and use by all properties in the cottage housing development.~~
- f. ~~Cottage housing development must prove adequate provision of water, wastewater, and utility services necessary to support additional units without straining existing infrastructure.~~

Redlines for Recommendations 1A, 1B, 1C, 1D, 2B, 2C, and 4B.

5-302 High Density (HD)

5-302A. Purpose

- I. The purpose of the High Density (HD) Zone District is to provide areas suitable for high density, clustered, mixed-use development in accordance with the East End Master Plan. The Master Plan includes an analysis of the East End's physical characteristics and the capability of the community to provide essential public services. ~~The HD Zone District also provides a high density and mixed use development alternative to low density development as an incentive for the preservation of substantially more open space than could reasonably be required as part of a lower density development.~~ Clustering of ~~development~~ residential uses will be required to preserve environmentally sensitive lands and the scenic foreground as open space.
- II. Minimum requirements for approval of the residential densities and the nonresidential land uses allowed in the Zone District shall include appropriate guarantees for the protection of public health, safety and welfare, which shall include, but are not limited to, the provision of alternate transportation, recreational amenities and affordable housing, as described in the East End Master Plan and in this Code (see Sections 5-13 and 5-20). ~~In the absence of such guarantees and in the absence of the fulfillment of the other requirements set forth in the PUD process, non-environmentally sensitive lands will remain zoned either LD or PUDR and therefore will be subject to the standards of the applicable district; and environmentally sensitive lands will remain zoned either OS or PUDR and therefore will be subject to the standards of the applicable district.~~

5-302B. ~~Planned Unit Development (PUD) Procedure~~

~~All development proposed within the HD Zone District, except for proposed development of uses allowed by right, shall be reviewed pursuant to the Planned Unit Development (PUD) procedure to establish permitted uses and to allow variation from area and bulk requirements. Refer to Section 3-7 for PUD procedure and Section 5-14 for PUD standards.~~

5-302~~BE~~. Uses Allowed by Right

- I. Single-~~family household detached~~ dwellings with less than twelve thousand (12,000) sq. ft. of Floor Area.
 - a. For Single-~~family household detached~~ dwellings with greater than five thousand (5,000) sq. ft. of Floor Area but less than twelve thousand (12,000) sq. ft. of Floor Area: if the proposed residence is located within a subdivision or PUD with an established Home Owner's Association (HOA) that is responsible for administering an applicable design review board general declaration covenant requirement, the applicant shall provide a written approval of the proposed building plan from the HOA as part of their Development Permit application;
- II. Customary residential accessory buildings and uses;
- III. Day care homes; ~~and~~
- IV. Home occupations; ~~and~~
- V. Accessory dwelling unit

5-302D. Uses Allowed Subject to Administrative Review

- ~~I. Accessory Dwelling Units. The Floor Area of the Accessory Dwelling Unit shall be included in the Calculation for employee housing Impact Fee mitigation as defined in, and is subject to, Section 5-13 of this Code unless such unit is voluntarily deed restricted pursuant to LUC Section 5-1303 G.XIX; and~~
- II. Day care centers - allowed only on lots of at least one-half (1/2) acre;:-
- II. Duplex on parcels less than or equal to five (5) acres; and
- III. Transportation terminals.

5-302E. Uses Allowed Subject to One-step Planning Commission Review

- I. On parcels five (5) acres or less in size, the following shall be allowed by one-step Planning Commission review:
 - a. Single-household Attached Dwellings;
 - b. Rooming houses;
 - c. Cohousing;
 - d. Cottage housing;
 - e. RV, tiny home, yurt and other alternative living spaces (no more than twenty percent (20%) of total units)

5-302F. Uses Allowed Subject to Two-step Special Use Permit Review

- I. Single-household Dwellings (attached or detached) and Duplex Dwellings greater than twelve thousand (12,000) sq. ft.
 - a. Such dwellings must include one (1) Accessory Dwelling Unit, as provided in Section 5-1302 B.II.g subject to County R-1 Housing Deed Restriction and

ADU Deed Restriction Covenant, of at least seven hundred (700) sq. ft. but no greater than one thousand hundred (1,000) sq. ft.

II. Duplex residences on parcels greater than five (5) acres;

IV. Multi-household residences;

V. Rooming Houses on parcels greater than five (5) acres;

VI. Cohousing on parcels greater than five (5) acres;

VII. Cottage Housing on parcels greater than five (5) acres;

VIII. RV, tiny home, yurt and other alternative living spaces (no more than twenty percent(20%) of total units) on parcels greater than five (5) acres;

IX. Churches;

X. Fire stations;

5-302GE. Uses Allowed Subject to Board of County Commissioner Approval Pursuant to Planned Unit Development (PUD) Procedure

~~I. Duplex residences;~~

~~II. Multi-family residences;~~

~~III. Tourist accommodations;~~

~~IIIV. Commercial uses and personal services including the following and similar types of uses: clothing, hardware, drug, liquor, record, sporting goods, electronic and computer stores; barber or beauty shops, restaurant, cocktail lounge, movie theater, health club, grocery store of less than twelve thousand (12,000) square feet, dry cleaning and laundry pick-up station, laundromat, delicatessen, post office branch, television sales and service shop, shoe repair shop, camera and video rental and sale shop and gasoline service station without repair facilities; nothing to the contrary withstanding, no use shall be allowed that is incompatible with the nature of the applicable development;~~

~~IIIV. Conference facilities;~~

~~IIIV. Offices and financial institutions; and~~

~~VII. Transportation terminals;~~

~~VIII. Churches; and~~

~~IVIX. Fire stations, Schools and hospitals.~~

5-302HF. Area and Bulk Requirements Permitted by Right

I. Density - ~~one (1) dwelling unit per lot~~ fifteen (15) dwelling units per acre with the following possible density bonuses:

a. Increase of twenty-five percent (25%) for a maximum of nineteen (19) dwelling units per acre if thirty-three to forty percent (33-40%) of the total units are deed restricted.

- b. Increase of thirty-five percent (35%) for a maximum of twenty (20) dwelling units per acre if forty-one to fifty percent (41-50%) of the total units are deed restricted.
- c. Increase of fifty percent (50%) for a maximum of twenty-two and a half (22.5) dwelling units per acre if fifty-one percent (51%) or more of the total units are deed restricted.

II. Minimum Lot Area:→

- a. thirty-five (35) acres for properties served by well and OWTS;
- b. Two (2) acres for properties served by public water and OWTS;
- c. Three thousand (3,000) sq. ft. if connected to public water and sewer.

III. Setbacks

- a. Front yard - ~~thirty (30) feet~~ fifteen (15) feet for front loaded lots, ten (10) feet for alley loaded lots
- b. Rear yard - ~~thirty (30) feet~~ fifteen (15) feet
- c. Side yard - ~~thirty (30) feet~~ twelve and a half (12.5) feet
- d. The perimeter of multi-household dwelling and cottage housing developments shall maintain a fifteen (15) foot setback from adjacent properties.

I. Maximum Building Height - thirty-five (35) feet

5-302 ~~I~~**G**. Density, Area and Bulk Requirements Permitted Subject to Board of County Commissioner Approval Pursuant to the Planned Unit Development (PUD) Procedure

I. Density for ~~Residential and~~ Tourist Accommodation Units

Maximum Density - ~~eighty (80) persons per acre~~ Determined pursuant to Section 5-14.

~~Minimum Density - forty (40) persons per acre~~

~~The density of residential and tourist accommodation development may not be greater than forty (40) people per acre. Density is based upon the cumulative number of people to be housed as determined by the "population level" standards (see definition in Article 6):~~

II. Density for Commercial Development

III. Minimum lot area - Determined pursuant to Section 5-14

~~IV~~III. Setbacks - Determined pursuant to Section 5-14

~~V~~IV. Maximum Building Height - Determined pursuant to Section 5-14

~~VI.~~ Maximum Floor Area Ratio (FAR) - Determined pursuant to Section 5-14

5-302 ~~J~~**H**. Minimum Common Open Space - thirty percent (30%)

5-302 ~~K~~**I**. Minimum Off-street Parking

Off-street parking shall be provided for each use as required in Section 5-702.

5-302LJ. Review Standards for Land Uses and Area and Bulk Requirements Requiring Board of County Commissioner Approval pursuant to the Planned Unit Development (PUD) Procedure

An applicant seeking approval for any of the uses listed in Section 5-302G-E or approval to utilize the area and bulk requirements in Section 5-302I-G must demonstrate to the satisfaction of the Board of County Commissioners substantial compliance with the standards in this section:

- I. The use is consistent with the Land Use Policies (Article 2);
- II. Adequate public services such as roads, water, wastewater, public safety and fire protection are available to serve the proposed use and to insure the protection of the public health, safety and welfare in the region;
- III. Adequate mitigation by the applicant of the incremental impacts on the community's existing public services;
- IV. The use minimizes or mitigates any materially adverse environmental impacts and generally utilizes the most environmentally suitable site;
- V. Any proposed structures are located outside the Scenic Foreground Overlay Zone District or are designed consistently with the Scenic Foreground Overlay standards;
- VI. The use is consistent with the relevant goals and objectives of the San Miguel County Comprehensive Development Plan;
- VII. Acceptable guarantees that fulfill the criteria set forth in the East End Master Plan have been made for the provision of:
 - a. Adequate alternate transportation to serve the development (see Section 5-2001);
 - b. A sufficient quantity and quality of affordable housing to house the employees attributable to the proposed land use (see Section 5-1304);
 - c. A sufficient quantity and quality of recreational amenities to serve the residents of the development without overburdening existing off-site recreational facilities (see Section 5-803); and
- VIII. Any neighborhood commercial services are designed and planned to be compatible with the surrounding neighborhood (see Section 5-1403 B) to reduce traffic generation, mitigate traffic circulation and parking problems and serve the daily or frequent trade or service needs of the neighborhood.

~~5-302K. Uses Allowed Subject to Two-step Special Use Permit Review~~

~~Single-family Dwellings greater than twelve thousand (12,000) sq. ft. require Planning Commission and Board of Commissioner Special Use Permit review pursuant to Section 5-307L.~~

- ~~I. Such dwellings must include one (1) Accessory Dwelling Unit, as provided in Section 5-1302 B.II.g subject to County R-1 Housing Deed Restriction and ADU Deed Restriction Covenant, of at least seven hundred (700) sq. ft. but no greater than eight hundred (800) sq. ft.~~

5-303 Medium Density (MD)

5-303A. Purpose

- I. The purpose of the Medium Density (MD) Zone District is to provide areas suitable for clustered medium density residential development in accordance with the San Miguel County Comprehensive Development Plan. The East End Master Plan includes an analysis of the East End's physical characteristics and the capability of the community to provide essential public services. Due to consideration of such factors as neighborhood compatibility, availability of community services and road capacities, lands zoned MD are capable of accommodating higher density development than can lands zoned LD. Clustering of residential uses will be required to preserve environmentally sensitive lands and the scenic foreground as open space.
- II. Minimum requirements for approval of the residential densities proposed for the MD Zone District shall include appropriate guarantees for the protection of public health, safety and welfare, which shall include, but are not limited to, provision of alternate transportation, recreational amenities and affordable housing, as described in the East End Master Plan and in this Code (see Sections 5-13 and 5-20). ~~In the absence of such guarantees and in the absence of the fulfillment of the other requirements set forth in the PUD process, non-environmentally sensitive lands will remain zoned either LD or PUDR and therefore will be subject to the standards of the applicable district, and environmentally sensitive lands will remain zoned either OS or PUDR and therefore will be subject to the standards of the applicable district.~~

5-303B. Planned Unit Development (PUD) Procedure

~~All development proposed within the MD Zone District, except for proposed development of uses allowed by right, shall be reviewed pursuant to the Planned Unit Development (PUD) procedure to establish permitted uses and to allow variation from the area and bulk requirements established in this Section. Refer to Section 3-7 for PUD procedure and Section 5-14 for PUD Standards.~~

5-303BE. Uses Allowed by Right

- I. Single-~~family household~~ Detached dwellings with less than twelve thousand (12,000) sq. ft. of Floor Area.
 - a. For Single-~~family household~~ dwellings with greater than five thousand (5,000) sq. ft. of Floor Area but less than twelve thousand (12,000) sq. ft. of Floor Area: if the proposed residence is located within a subdivision or PUD with an established Home Owner's Association (HOA) that is responsible for administering an applicable design review board general declaration covenant

requirement, the applicant shall provide a written approval of the proposed building plan from the HOA as part of their Development Permit application;

- II. Customary residential accessory buildings and uses;
- III. Day care homes; ~~and~~
- IV. Home occupations; ~~and~~
- V. Accessory dwelling unit.

5-303~~C~~D. Uses Allowed Subject to Administrative Review

~~I. Accessory Dwelling Units. The Floor Area of the Accessory Dwelling Unit shall be included in the Calculation for employee housing Impact Fee mitigation as defined in, and is subject to, Section 5-13 of this Code unless such unit is voluntarily deed restricted pursuant to LUC Section 5-1303 G.XIX; and~~

~~I. Duplex dwellings;~~

~~II. Day care centers - allowed only on lots of at least one-half (1/2) acre; and-~~

~~III. Transportation terminals.~~

5-303D. Uses Allowed Subject to One-step Planning Commission Review

I. Single-household Attached dwellings with eight (8) or fewer units;

5-303E. Uses Allowed Subject to Two-step Special Use Permit Review

I. Single-household Dwellings greater than twelve thousand (12,000) sq. ft. require Planning Commission and Board of Commissioner Special Use Permit review pursuant to Section 5-307 L.

a. Such dwellings must include one (1) Accessory Dwelling Unit, as provided in Section 5-1302 B.II.g subject to County R-1 Housing Deed Restriction and ADU Deed Restriction Covenant, of at least seven hundred (700) sq. ft. but no greater than one thousand (1,000) sq. ft.

II. Single-household attached dwellings with nine (9) to twelve (12) units;

III. Cottage housing

IV. Cohousing; and

V. Multi-household dwellings with twenty (20) units or less;

VI. Fire stations; and

VII. Churches.

5-303~~FE~~. Uses Allowed Subject to Board of County Commissioner Approval Pursuant to the Planned Unit Development (PUD) Procedure

~~I. Duplex residences;~~

~~II. Multi-family residences;~~

- ~~III.~~ Tourist accommodations;
- ~~IIIV.~~ Commercial uses including the following and similar: drug, liquor and sporting goods stores, barber and beauty shops, restaurants, cocktail lounges, clothing, electronic, camera and video rental stores, dry cleaning and laundry pick-up stations, gasoline service stations, and grocery store less than three thousand (3,000) square feet; nothing to the contrary withstanding, no use shall be allowed that is incompatible with the nature of the applicable development;
- ~~V. — Transportation terminats;~~
- ~~VI. — Fire stations;~~
- ~~IV/VII.~~ Elementary, junior and senior high schools; ~~and~~
- ~~VIII.~~ Hospitals., ~~and~~
- ~~IX. — Churches.~~

5-303 ~~GF.~~ Area and Bulk Requirements Permitted by Right

- I. Density - one (1) dwelling unit per ~~lot three (3) acres with the following possible density bonuses:~~
 - a. ~~Increase of twenty-five percent (25%) for a maximum of one dwelling unit per two and four tenths (2.4) acres if thirty-three to forty percent (33-40%) of the total units are deed restricted.~~
 - b. ~~Increase of thirty-five percent (35%) for a maximum of one dwelling unit per two and two tenths (2.2) acres if forty-one to fifty percent (41-50%) of the total units are deed restricted.~~
 - c. ~~Increase of 50% for a maximum of one dwelling unit per two (2) acres if 51% or more of the total units are deed restricted.~~
- I. Minimum Lot Area: ~~—~~
 - a. ~~Thirty-five (35) acres for properties served by well and OWTS;~~
 - b. ~~Three (3) acres for lots served by public water and OWTS;~~
 - c. ~~Six thousand (6,000) square feet if connected to public water and sewer.~~
- II. Setbacks
 - a. Front yard - ~~thirty (30) feet~~ twenty (20) feet, may be reduced to ten (10 feet for alley loaded lots
 - b. Rear yard - ~~twenty (20) feet~~ twenty (20) feet
 - c. Side yard - ~~twenty (20) feet~~ twelve and a half (12.5) feet
- III. Maximum Building Height - thirty-five (35) feet

5-303 ~~HG.~~ Density, Area and Bulk Requirements Permitted Subject to Board of County Commissioners Approval Pursuant to the Planned Unit Development (PUD) Procedure.

Maximum density will be determined pursuant to the standards established in Section 5-1403 F.

I. Density for Uses Permitted by PUD

Maximum overall residential density - one (1) unit per three (3) acres

I. Minimum Lot Area for lots final platted or replatted following the adoption of this Land Use Code:

- a. Single-family household dwellings - fifteen thousand (15,000) sq. ft.
- b. Duplex dwellings - twenty thousand (20,000) sq. ft.
- c. Multi-family household dwellings - twenty thousand (20,000) sq. ft.
- d. Tourist Accommodations - twenty thousand (20,000) sq. ft.
- e. Commercial buildings - ten thousand (10,000) sq. ft.
- f. Public buildings - twenty thousand (20,000) sq. ft.

II. Setbacks for all buildings located on lots final platted or replatted prior to the adoption of this Land Use Code:

- a. Front yard - twenty-five (25) feet
- b. Rear yard - twenty (20) feet
- c. Side yard - twelve point five (12.5) feet

III. Maximum Building Height - thirty-five (35) feet

IV. Maximum Floor Area Ratio (FAR) - Determined pursuant to Section 5-14

5-303H. Minimum Common Open Space - sixty percent (60%)

5-303J. Minimum Off-street Parking

Off-street parking shall be provided for each principal use as required in Section 5-702.

5-303K. Review Standards for Land Uses and Area and Bulk Requirements Requiring Board of County Commissioner Approval pursuant to the Planned Unit Development (PUD) Procedure

An applicant seeking approval for any of the uses listed in Section 5-303 E or approval to utilize the area and bulk requirements in Section 5-303 G must demonstrate to the satisfaction of the Board of County Commissioners substantial compliance with the standards in this section:

- I. The use is consistent with the Land Use Policies (Article 2);
- II. Adequate public services such as roads, water, wastewater, public safety and fire protection are available to serve the proposed use and an applicant adequately mitigates the incremental impacts on the community's existing public services;
- III. The use minimizes or mitigates any materially adverse environmental impacts and generally utilizes the most environmentally suitable site;

- IV. Any proposed structures are located outside the Scenic Foreground Overlay Zone District or are designed consistently with the Scenic Foreground Overlay standards;
- V. The use is consistent with the relevant goals and objectives of the San Miguel County Comprehensive Development Plan;
- VI. Acceptable guarantees (as described in the East End Master Plan) have been made for the provision of:
 - a. Adequate alternate transportation to serve the development (see Section 5-2001);
 - b. A sufficient quantity and quality of affordable housing to house the employees attributable to the proposed land use (see Section 5-1304); and
 - c. A sufficient quantity and quality of recreational amenities to serve the residents of the development without overburdening existing off-site recreational facilities (see Section 5-803); and
- VII. Any neighborhood commercial services are designed and planned to be compatible with the surrounding neighborhood (see Section 5-1403 B) to reduce traffic generation, mitigate traffic circulation and parking problems and serve the daily or frequent trade or service needs of the neighborhood.

~~5-303K. Uses Allowed Subject to Two-step Special Use Permit Review~~

~~Single-family Dwellings greater than twelve thousand (12,000) sq. ft. require Planning Commission and Board of Commissioner Special Use Permit review pursuant to Section 5-307L.~~

- ~~I. Such dwellings must include one (1) Accessory Dwelling Unit, as provided in Section 5-1302 B.II.g subject to County R-1 Housing Deed Restriction and ADU Deed Restriction Covenant, of at least seven hundred (700) sq. ft. but no greater than eight hundred (800) sq. ft.~~

5-304 Low Density (LD)

5-304A. Purpose

- I. The purpose of the Low Density (LD) Zone District is to provide areas suitable for clustered, low-density residential development in accordance with the San Miguel County Comprehensive Development Plan. ~~The LD Zone District applies to areas so zoned already; it shall not provide a mechanism for rezoning areas not currently so zoned.~~ The East End Master Plan includes an analysis of the region's physical characteristics and the capability of the community to provide essential public services. If land is developed under the LD Zone District, the rural characteristics of the land shall be preserved to the maximum extent possible by careful site planning and, if necessary, the clustering of development. Clustering of residential uses will be required to preserve environmentally sensitive lands and the scenic foreground as open space.

- II. Minimum requirements for approval of the residential densities proposed for the LD Zone District shall include appropriate guarantees for the protection of public health, safety and welfare, which shall include, but are not limited to, provision of transportation (capital, facilities and equipment) necessary to serve the development, long-term operation and maintenance of the regional transportation system, recreational amenities and affordable housing, as described in the East End Master Plan and in this Code (see Sections 5-13 and 5-20). In the absence of such guarantees and in the absence of the fulfillment of the other requirements set forth in the PUD process, all lands will be subject to the standards for uses and area and bulk requirements allowed by right.

~~5-304B. Planned Unit Development (PUD) Procedure—~~

~~All development proposed within the LD Zone District, except for proposed development of uses allowed by right, shall be reviewed pursuant to the Planned Unit Development (PUD) procedure to establish permitted uses and to allow variation from the area and bulk requirements established in this Section. Refer to Section 3-7 for PUD procedure and Section 5-14 for PUD Standards.—~~

5-304~~B~~E. Uses Allowed by Right

- I. Single-~~family household~~ dwellings with less than twelve thousand (12,000) sq. ft. of Floor Area.

a. For Single-~~family household~~ dwellings with greater than five thousand (5,000) sq. ft. of Floor Area but less than twelve thousand (12,000) sq. ft. of Floor Area: if the proposed residence is located within a subdivision or PUD with an established Home Owner's Association (HOA) that is responsible for administering an applicable design review board general declaration covenant requirement, the applicant shall provide a written approval of the proposed building plan from the HOA as part of their Development Permit application;

- II. Customary residential accessory buildings and uses;

- III. Day care homes; ~~and~~

- IV. Home occupations-; ~~and~~

- V. Accessory dwelling unit

5-304~~C~~D. Uses Allowed Subject to Administrative Review

~~I.—Accessory Dwelling Units. The Floor Area of the Accessory Dwelling Unit shall be included in the Calculation for employee housing Impact Fee mitigation as defined in, and is subject to, Section 5-13 of this Code unless such unit is voluntarily deed restricted pursuant to LUC Section 5-1303 G.XIX; and—~~

- I. Day care centers - allowed only on lots of at least one (1) acre.

5-304~~D~~E. Uses Allowed Subject to One-step Planning Commission Review

- I. Equestrian Centers (see Section 5-24); ~~and~~

- II. Duplex dwelling with less than twelve thousand (12,000) square feet of total floor area.

5-304E. Uses Allowed Subject to Two-step Special Use Permit Review

- I. Single-household dwellings greater than twelve thousand (12,000) sq. ft. require Planning Commission and Board of Commissioner Special Use Permit review pursuant to Section 5-307 L.
 - a. Such single-household dwellings must include one (1) Accessory Dwelling Unit, as provided in Section 5-1302 B.II.g subject to County R-1 Housing Deed Restriction and ADU Deed Restriction Covenant, of at least seven hundred (700) sq. ft. but no greater than one thousand (1,000) sq. ft.
- II. Fire stations; and
- III. Churches.

5-304F. Uses Allowed Subject to Board of County Commissioners Approval Pursuant to the Planned Unit Development (PUD) Procedure

- ~~I. Fire stations;~~
- ~~II. Duplex dwellings;~~
- ~~III. Churches; and~~
- IV. Neighborhood Commercial Uses that offer goods and services needed by residents of the PUD on a daily or frequent basis, including convenience store, drug store, liquor store, self-service laundry and postal service substation.

5-304G. Area and Bulk Requirements Permitted by Right

- I. Density - one (1) dwelling unit per ~~lot~~ seven (7) acres
- II. Minimum Lot Area - ~~thirty-five (35) acres~~ seven (7) acres with the following possible density bonuses:
 - d. Increase of 25% for a maximum of one dwelling unit per five and six tenths (5.6) acres if 37% of the total units are deed restricted.
 - e. Increase of 35% for a maximum of one dwelling unit per five and two tenths (5.2) acres if 38-50% of the total units are deed restricted.
 - f. Increase of 50% for a maximum of one dwelling unit per four and seven tenths (4.7) if 51% or more of the total units are deed restricted.
- II. Setbacks
 - a. Front yard - ~~fifty (50) feet~~ twenty five (25) feet
 - b. Rear yard - ~~fifty (50) feet~~ twenty five (25) feet
 - c. c. Side yard - ~~fifty (50) feet~~ twenty five (25) feet
- III. Maximum Building Height - ~~thirty-five (35) feet~~

5-304H. Area and Bulk Requirements Permitted Subject to Board of County Commissioners Approval Pursuant to the Planned Unit Development (PUD) Procedure

- I. Maximum Density - one (1) unit per seven (7) acres
- II. Setbacks
 - a. Front yard - Determined pursuant to PUD procedure
 - b. Rear yard - Determined pursuant to PUD procedure
 - c. Side yard - Determined pursuant to PUD procedure
- III. Maximum Building Height - thirty-five (35) feet

5-304I. Review Standards for Land Uses and Area and Bulk Requirements Requiring Board of County Commissioner Approval pursuant to the Planned Unit Development (PUD) Procedure

An applicant seeking approval for any of the uses listed in Sections 5-304 F or approval to utilize the area and bulk requirements in Section 5-304 ~~HE~~ must demonstrate to the satisfaction of the Board of County Commissioners substantial compliance with the standards in this Section.

- I. The use is consistent with the Land Use Policies (Article 2);
- II. Adequate public services such as roads, water, wastewater, public safety and fire protection are available to serve the proposed use and an applicant adequately mitigates the incremental impacts on the community's existing public services;
- III. The use minimizes or mitigates any materially adverse environmental impacts and generally utilizes the most environmentally suitable site;
- IV. Any proposed structures are located outside the Scenic Foreground Overlay Zone District or are designed consistently with the Scenic Foreground Overlay standards;
- V. The use is consistent with the relevant goals and objectives of the San Miguel County Comprehensive Development Plan;
- VI. Acceptable guarantees (as described in the East End Master Plan) have been made for the provision of:
 - a. Adequate transportation to serve the development (see Section 5-2001);
 - b. A sufficient quantity and quality of affordable housing to house the employees attributable to the proposed land use (see Section 5-1304); and
 - c. A sufficient quantity and quality of recreational amenities to serve the residents of the development without overburdening existing off-site recreational facilities (see Section 5-803); and
- VII. Any neighborhood commercial services are designed and planned to be compatible with the surrounding neighborhood (see Section 5-1403 B) to reduce traffic generation, mitigate traffic circulation and parking problems and serve the daily or frequent trade or service needs of the neighborhood.

5-304J. Minimum Common Open Space - sixty percent (60%)

5-304K. Minimum Off-street Parking

Off-street parking shall be provided for each use as required in Section 5-702.

~~5-304L. Uses Allowed Subject to Two-step Special Use Permit Review~~

~~Single-family greater than twelve thousand (12,000) sq. ft. require Planning Commission and Board of Commissioner Special Use Permit review pursuant to Section 5-307 L.~~

~~I. Such dwellings must include one (1) Accessory Dwelling Unit, as provided in Section 5-1302 B.II.g subject to County R-1 Housing Deed Restriction and ADU Deed Restriction Covenant, of at least seven hundred (700) sq. ft. but no greater than eight hundred (800) sq. ft.~~

5-319.2 Wright's Mesa Zone Districts

5-319.2D Purposes

- I. Wright's Mesa Rural Agricultural (WMRA) – *No changes to this section*
- II. Wright's Mesa Rural Residential (WMRR) - *No changes to this section*
- III. Wright's Mesa Light Industrial (WMLI)

The Wright's Mesa Light Industrial (WMLI) district is established to implement the "Town Light Industrial" land use classification in the Wright's Mesa Master Plan. The district is intended to apply to county parcels that have been identified as appropriate for light industrial development currently outside town limits but within the Town of Norwood Master Plan Boundary. The district is intended to allow for the development of small-scale and relatively low-impact manufacturing and processing uses, offices, business services, ~~live-work units mixed-use residential~~, civic uses, and other uses compatible with the small-town character of Norwood, in locations where uses and activities can be efficiently served by the Town of Norwood, Norwood Sanitation District, and Norwood Water Commission. This district is near the downtown commercial area and at the edge of town residential areas, where town-level residential and commercial should occur. Therefore, commercial and residential uses in this district require greater review process than light industrial uses. Developers seeking higher density or variation in permitted uses or area and bulk requirements shall use the Planned Unit Development (PUD) process and must demonstrate legal and physically adequate water and sewer services. The district's location allows for the expansion of Norwood in a compact and orderly fashion. It is also intended to ensure general consistency with the Town of Norwood's Major Streets and Future Land Use Plan. Prior to rezoning parcels to the WMLI district, the county will encourage landowners to seek annexation into the Town or enter into a pre-annexation agreement with the Town of Norwood.

IV. Wright's Mesa Town Residential (WMTR)

The Wright's Mesa Town Residential (WMTR) district is established to implement the "Town Residential" land use classification in the Wright's Mesa Master Plan. The district is intended to apply to county parcels that have been identified as appropriate for town-level residential development within the Town of Norwood Master Plan Boundary. "Town-level residential development" is consistent with Town of Norwood residential development densities and all other standards, including paving standards for streets and sidewalks. Developers seeking higher density or variation in permitted uses or area and bulk requirements shall use the Planned Unit Development (PUD) process and must demonstrate legal and physically adequate water and sewer services. The WMTR zone district is determined to be necessary and suitable for future town uses and can be efficiently served by the Town of Norwood, Norwood Sanitation District, and Norwood Water Commission. It is also consistent with the Town of Norwood's Major Streets and Future Land Use Plan. Prior to rezoning parcels to the WMTR district, the eCounty will encourage landowners to seek annexation into the Town or enter into a pre-annexation agreement with the Town of Norwood.

5-319.2E. Allowed Uses

RESIDENTIAL USES						
USE CATEGORY	USE TYPE	WMRA	WMRR	WMLI	WMTR	USE SPECIFIC STANDARDS
Household Living	Dwelling, Single-family household (manufactured and mobile homes on permanent foundations)	P-D	P-D	P-D	P-D	
	Dwelling, Cottage Housing				S-2	Section 5-319.2 H.II.a.
	Dwelling, Duplex				P-D	
	Dwelling, Live/work Mixed-Use Residential			P-D		Section 5-319.2 H.II.b.

RESIDENTIAL USES						
USE CATEGORY	USE TYPE	WMRA	WMRR	WMLI	WMTR	USE SPECIFIC STANDARDS
	Dwelling, Multi-family household				S-2	Section 5-319.2 H.II.c.
	Secondary Dwelling Unit	P-D				Section 5-319.2 H.II.d., Section 5-1302
	Accessory Dwelling Unit		P-D		P-D	Section 5-1302
	Accessory shed or outbuilding (200 sf or less in residential district)	P	P	P	P	
Group Living	Boarding or Rooming House				S-1	Section 5-319.2 H.II.e.
	Cohousing		S-2		S-1	Section 5-319.2 H.II.f.
	Convent or Monastery	S-1				
	Nursing Home				S-1	
ACCESSORY USES						
	Accessory Use/Structure	A-	A-D	A-D	A-D	
	Dwelling, Alley House				A-D	Section 5-319.2 H.VI.a

RESIDENTIAL USES						
USE CATEGORY	USE TYPE	WMRA	WMRR	WMLI	WMTR	USE SPECIFIC STANDARDS
	Caretaker or Guard Residence				A-D	
	Home occupation (accessory to Single-family household Dwelling)					Section 5-319.2 F.I. *Building Permit may be required

TABLE 5-319.2-4: AREA AND BULK REQUIREMENTS				
	WMRA	WMRR	WMLI	WMTR
MINIMUM LOT AREA				
Non-residential uses or group living	35 acres except for OLP and subdivision exemption	As previously platted	6,000 sf.	
Single- family household or duplex—no duplex in WMRA	35 acres except for OLP and subdivision exemption	As previously platted	5,000 sf.	5,000 sf
Multi- family household or cottage housing				2,500 sf (allowed by PUD)
Alley House, accessory use				7,500 sf (for Single- family household Dwelling and Alley House)
MAXIMUM LOT AREA				
Principal Use	n/a	n/a	n/a	10,000 sf
MINIMUM LOT WIDTH				
Non-residential uses of group living	50 ft	50 ft	50 ft	
Single- family household	50 ft	50 ft	48 ft	48 ft
Multi- family household				60 ft
Cottage housing				35 ft (allowed by PUD)
MINIMUM SETBACKS				
Front	30 ft	10 ft	15 ft	15 ft

TABLE 5-319.2-4: AREA AND BULK REQUIREMENTS				
	WMRA	WMRR	WMLI	WMTR
Side	20 ft	10 ft	10 ft	10 ft. (no less than 5 ft for Cottage Housing allowed by PUD)
Rear	20 ft	10 ft	10 ft	Zero for Single- family household ; 10 ft for Multi- family household and Alley Houses; 5 ft (no less than 5 ft for Cottage Housing allowed by PUD) when rear yard is adjacent to an alley
MAXIMUM HEIGHT OF BUILDINGS				
Primary Use	35 ft	35 ft	30 ft	25 ft
Accessory Use	35 ft	35 ft	30 ft	18 ft
MAXIMUM LOT COVERAGE				
All Uses	n/a	n/a	50%	25%
Cottage Housing				40% for Single- family household and Cottage Housing (allowed through PUD)
Single- family household with Alley House accessory				50% or 5,000 ft, whichever is less
Planned Unit Development			80%	80%
MINIMUM FLOOR AREA PER UNIT				

TABLE 5-319.2-4: AREA AND BULK REQUIREMENTS				
	WMRA	WMRR	WMLI	WMTR
Non-residential uses	No Minimum	No Minimum	No Minimum	
Single- family household	No Minimum	No Minimum	800 sf GFA	800 sf GFA
Duplex			500 sf GFA	500 sf GFA
Cottage				500 sf GFA (allowed by PUD)
Multi- family household or Alley Houses				350 sf GFA (allowed by PUD)
OFF-STREET PARKING				
Shall be provided for each use as required in Section 5-702				

5-309 - Low Intensity Industrial (I)

5-309A. Purpose

The Low Intensity Industrial (I) Zone District is intended to provide for the establishment of non-polluting manufacturing, warehouse, research and repair facilities. The I Zone District also is intended to accommodate retail uses accessory to primary non-retail uses.

5-309B. Uses Allowed by Right

- I. Single-~~family~~ household dwellings; and
- II. Day care homes.

5-309C. Area and Bulk Requirements Permitted by Right

- I. Minimum Lot Area - thirty-five (35) acres
- II. Setbacks
 - a. Front yard - fifty (50) feet
 - b. Rear yard - thirty (30) feet
 - c. Side yard - twenty (20) feet
- III. Maximum Building Height - thirty-five (35) feet

5-309D. Uses Allowed Subject to Board of County Commissioners Approval Pursuant to the Planned Unit Development (PUD) Procedure

Uses allowed include, but are not limited to the following and similar types of uses:

- I. All uses allowed in the HC Zone District;
- II. Appliance and equipment rental, storage and repair;
- III. Automobile washing facilities;
- IV. Electrical and plumbing service shops;
- V. Commercial bakeries;
- VI. Computer product sales and service;
- VII. Printing and publishing plants;
- VIII. Telecommunications supply;
- IX. Utility service facilities;
- X. Day care centers - allowed only lots of at least one (1) acre;
- XI. Affordable Housing, accessory to a principal use, for persons employed within the PUD, and ~~Mixed-Use Residential Live-work Housing (as defined in Section 5-1305-B.X)~~; and
- XII. Business and Professional Offices.

No additional changes to Section 5-309

5-307 Forestry, Agriculture and Open (F)

5-307A. Purpose

The Forestry, Agriculture and Open (F) Zone District is intended to preserve large, relatively remote areas of the County for resource, agricultural, open space and recreational purposes. These areas currently have minimum public facilities and services and are considered inappropriate for substantial development. Development activities in these areas should be limited to the minimal list of activities that are allowed under State and Federal laws. All permitted development should fully mitigate the effects of such development upon the environment and on the County's budget. Development and/or special uses are encouraged to be located outside environmentally sensitive land.

5-307B. Uses Allowed by Right

- I. Single-~~family household~~ dwellings with less than twelve thousand (12,000) sq. ft. of floor area, mobile homes and accessory uses and accessory buildings with footprints less than three thousand (3,000) sq. ft. (if such buildings and uses are not part of normal and customary agriculture and ranching activities);

- II. Day care homes;
- III. Logging operations resulting in hauling of up to five thousand (5,000) board feet in any 12-month period beginning with commencement of hauling;
- IV. Normal and customary agriculture and ranching activities; and
- V. Home Occupations.

5-307C. Uses Allowed Subject to Administrative Review

- † Caretaker unit - ~~a second two additional~~ residential units may be allowed on all parcels, thirty-five (35) acres or larger; and on parcels five (5) to thirty-five (35) acres in the Telluride R-1 School District, except no caretaker units shall be allowed in the San Miguel Canyon Area. ~~See Section 5-1302C for standards. Such unit shall be attached to or located within three hundred (300) feet of the primary residence (as measured between the closest exterior walls). Such unit shall contain no more than two thousand (2,000) sq. ft. of floor area, and shall contain full kitchen and bathroom facilities. The Floor Area of the caretaker unit shall be included in the calculation for employee housing Impact Fee mitigation as defined in Section 5-13 of this Code unless such unit is voluntarily deed restricted pursuant to LUC Section 5-1303 G.XIX. No lease or rental of a caretaker unit shall be for a term less than six (6) months. Caretaker units shall not be conveyed or sold separately from the remainder of the parcel and shall remain under the same ownership as the primary residence;~~
- II. Day care centers - allowed only on parcels of at least two (2) acres;
- III. Ski area trails and slopes. The Planning Director shall require the developer to demonstrate that off-site impacts are mitigated in accordance with the standards in Section 5-10. If the impact mitigation plan does not meet these standards, the development shall be subject to One-step Planning Commission Review pursuant to Section 5-10;
- IV. Logging operations resulting in hauling of between five thousand (5,000) and three hundred thousand (300,000) board feet in any 12-month period beginning with commencement of hauling; and
- V. Minor Oil and Gas exploration, drilling and pipelines, including wells, and geophysical operations (refer to Section 5-26).

5-307D. Uses Allowed Subject to One-step Planning Commission Review

- I. Parks, playgrounds, playing fields, tennis courts, outdoor ice-skating rinks and swimming pools;
- II. Churches and community meeting halls, libraries or other civic facilities;
- III. Lumber mills;
- IV. Horseback riding and sleigh ride operations, and outdoor recreation areas and campgrounds (subject to compliance with Standards in Section 5-1008);

- V. Cemeteries subject to Section 5-307 K and wind turbines for residential use over thirty-five (35) feet in height;
 - VI. Junkyard, including garbage dump and sanitary fill, subject to C.R.S. 43-1-501, et seq.;
 - VII. Hunting Lodges;
 - VIII. Bed and Breakfasts, subject to Section 5-307 I;
 - IX. Construction/Contractor Office and Staging Area;
 - X. Private Schools;
 - XI. Accessory Structure with a footprint greater than three thousand (3,000) sq. ft. (if such structure is not part of normal and customary agriculture and ranching activities); and
 - XII. Social and Scenic Uses, such as a location for weddings, meetings, retreats, reunions, video and film photo shoots and commercials, on parcels containing thirty-five (35) acres or more, and with attendance of two hundred (200) or fewer guests.
- 5-307E. Uses Allowed Subject to One-step Board of County Commissioner Review
- I. Open Land Protection, subject to the standards in Section 5-1207.
 - II. Logging operations resulting in hauling of more than three hundred thousand (300,000) board feet in any 12-month period beginning with commencement of hauling, in accordance with all provisions of Sections 5-10 and 5-17.
- 5-307F. Uses Allowed Subject to Two-step Special Use Permit Review
- I. Water treatment plants;
 - II. Airports, sanitary landfill operations and sewage disposal areas, subject to Section 5-307 K;
 - III. Kennels and veterinary hospitals;
 - IV. New ski area base facilities (also subject to the provisions of Section 5-1303 D.I), ski lifts and related buildings, parking and incidental facilities (also subject to the provisions of Section 5-1303 D.II);
 - V. Public utility structures, including dams and reservoirs (refer to Section 5-709);
 - VI. Music or other festivals with anticipated attendance of more than two hundred (200) people;
 - VII. Hotels, subject to Section 5-307 I;
 - VIII. Aircraft Landing Areas;
 - IX. Wind Turbines for commercial uses;

- X. Golf Courses subject to a conceptual joint work session with the Planning Commission and Board of Commissioners prior to the applicant submitting engineering documents and survey drawings (subject to compliance with Standards in Section 5-1004);
- XI. Single-~~family household~~ Dwellings greater than twelve thousand (12,000) sq. ft. of Floor Area on a minimum of thirty-five (35) acres shall comply with the standards in Section 5-307 L. (LUC Section 5-10 does not apply).
- XII. Major Oil and Gas Facilities, including compressor stations, gas treatment facilities and pipelines (refer to Section 5-26).
- XIII. Conditional Uses on Federal Lands subject to Section 5-11, Article 6, and applicable State and Federal statutes and regulations.
- XIV. Social and Scenic Uses, such as a location for weddings, meetings, retreats, reunions, video and film photo shoots and commercials, on parcels containing thirty-five (35) acres or more, and with attendance of more than two hundred (200) guests.

XV. Cohousing Units

5-307G. Area and Bulk Requirements

- I. a. The minimum lot size for each principal use is thirty-five (35) acres except for single-~~family household~~ residential dwellings approved pursuant to the subdivision exemption standards for Open Land Protection (see Section 5-1207).
d. Any legally created parcel less than thirty-five (35) acres in the F Zone District may qualify for a building permit for one (1) single-~~family household~~ dwelling unit, provided the parcel meets the criteria set forth in Section 5-1908.
- II. Minimum Setbacks
 - a. Front Yard - thirty (30) feet
 - b. Side Yard - twenty (20) feet
 - c. Rear Yard - twenty (20) feet
- III. Maximum Height of Buildings - thirty-five (35) feet

5-307H. Minimum Off-street Parking

Off-street parking shall be provided for each principal use as required in Section 5-702.

5-307I. Hotel, Guest Ranch, and Bed and Breakfast Standards for the F Zone District. In addition to complying with the standards for special uses in Section 5-10, hotels shall comply with the standards in this section:

- I. Neither activity nor traffic associated with a hotel may materially and/or substantially adversely affect ranching or farming operations, residences or scenic quality of land surrounding State or County roads;

- II. All hotel buildings must comply with the setbacks and height restrictions;
 - III. Minimum Lot Size - forty (40) acres;
 - IV. Maximum occupancy may be limited depending upon impacts on surrounding property;
 - V. Accessory facilities within the hotel complex may include restrooms and showers;
 - VI. Full meals must be provided for overnight guests and may be provided for others;
 - VII. All exterior lighting shall comply with the standards of Section 5-710;
 - VIII. Affordable housing for hotel employees may be allowed as an accessory use;
 - IX. Any other conditions necessary to preserve the character of the F Zone District and protect wildlife habitat may be applied to hotels in the F Zone District;
 - X. Population density allowed, including for all Affordable Housing required and/or requested, shall not exceed the density allowed for the acreage of the subject parcel at one (1) single-~~family household~~ residential unit per thirty-five (35) acres (except south of Wright's Mesa and Beaver Canyon);
 - XI. Sole access to the hotel parcel may not be achieved by aircraft, and all access roads must meet all applicable County road standards (except south of Wright's Mesa and Beaver Canyon); and
 - XII. The hotel parcel shall be deed restricted against any future subdivision (except south of Wright's Mesa and Beaver Canyon).
 - XIII. An existing hotel or guest ranch that is nonconforming solely because it includes density beyond that allowed pursuant to this Section 5-307 I is eligible to become a permitted use under this section, provided that the population density, including Affordable Housing for employees, is not increased.
- 5-307J. Airports, Cemeteries, Sanitary Land Fill Operations and Sewage Disposal Areas Standards
- In addition to complying with the standards for special uses in Section 5-10, airports, cemeteries, sanitary land fill operations and sewage disposal areas facilities shall comply with the standards in this section.
- I. Such uses shall serve an obvious public need;
 - II. Sufficient distance shall separate such uses from incompatible abutting properties; and
 - III. Satisfactory proof shall be given that such areas will be properly maintained.
- 5-307K. Single-~~family household~~ Dwellings over twelve thousand (12,000) square feet of Floor Area on a minimum of thirty-five (35) acres
- I. Such dwellings must include one (1) Caretaker ~~or Accessory~~ Dwelling Unit (~~depending upon Zone District~~), as provided in Section 5-1302-B.H.g and subject to

County R-1 Housing Deed Restriction and ~~ADU Secondary Residential Unit~~ Deed Restriction ~~and~~ Covenant, of at least eight hundred (800) square feet but no greater than two thousand (2,000) square feet. ~~for a Caretaker Unit and of at least seven hundred (700) square feet but no greater than eight hundred (800) square feet for an Accessory Dwelling Unit.~~

II. Submission Requirements

- a. A Site plan shall be provided including:
 - i. Building plan, including location and dimensions of structures;
 - ii. Typical elevations/heights of buildings;
 - iii. Topography;
 - iv. Existing landscaping and proposed landscaping plan;
 - v. Lighting plan; all exterior lighting shall comply with the standards of Section 5-710; and
 - vi. Existing structure and uses on adjacent parcels.
- b. Applicant shall address Land Use Code Section 5-21 Scenic Quality Standards. Each developer shall describe in detail how the visual impact of the proposed development on neighboring developments and public use areas shall be mitigated.

III. Review Standards

- a. Demonstration of compliance with the ~~most-current building and energy codes Prescriptive Energy Code and Green Building Standards~~ as adopted by Board of County Commissioners ~~Resolution 2005-44;~~
- b. Provisions to provide renewable energy sources such as, but not limited to, passive solar design, wind, geothermal, photovoltaic, hydrogen fuel cells, etc.;
- c. Parcel size and preservation of Open Space;
- d. The use shall be consistent with and compatible with the Character of the neighborhood of the parcel proposed for development and surrounding land uses;
- e. Compatibility with the Character of Parcels adjacent to the Parcel shall be expressed in terms of appearance, scale and features, Site design, landscaping, weed seed dispersal, as well as, the control and Minimization of adverse Impacts including Noise, vibration, dust, dirt, smoke, fumes, gas, odor, explosion, glare, Impacts on pedestrian and traffic congestion, parking, trash, service delivery, or other undesirable or hazardous conditions; and
- f. Demonstration of Compliance with Scenic Quality standards in Section 5-2101.